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Degree Project

A Post-IPO Reality Check for B2C SaaS

Why Consumer-Facing Software Firms Underperform After Listing



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Summary

Over the past few years, more attention has been given to business-to-consumer (B2C) software-as-a-service (SaaS) companies when entering public markets, often at valuations derived from years of aggressive growth. Yet a recurring pattern has emerged: within the twelve months following an initial public offering (IPO), many of these firms see their share prices fall below market benchmarks. Both finance research and international business (IB) research have each examined parts of this phenomenon, but rarely together. With all of this in mind, this thesis aims to explain why B2C SaaS firms underperform in the year following their IPO and how the interaction of financial, behavioral, and international-market factors produces that decline. This study examines the following firms: Zoom, Dropbox, Wix, Squarespace, and Momentive Global (SurveyMonkey). All the observed companies are subscription-based, and internationally operating B2C SaaS companies listed on US exchanges between 2013 and 2021.

The research methodology employed in this study comprises a mix of quantitative event-study analysis and qualitative semi-structured interviews with experts. The quantitative component calculates buy-and-hold abnormal returns (BHAR) and wealth relatives for each firm relative to the NASDAQ Composite Index, observed monthly over the twelve months following their IPO. Moreover, the qualitative analysis is based on the results of five expert interviews with professionals from venture capital, the equity capital markets, and the startup ecosystem. The analysis is conducted using Braun and Clarke's six-phase approach and thematic coding.

The results of the quantitative analysis suggest that B2C SaaS firms underperform the NASDAQ Composite during the first twelve months following their IPO, as four of the five firms demonstrated buy-and-hold abnormal returns ranging from -38.1 percentage points (Squarespace) to -9.5 percentage points (Wix) and wealth relatives between 0.550 and 0.919. However, there was a sole exception – Zoom, which recorded BHAR of +133.9. Due to extraordinary macroeconomic events, the COVID-19 pandemic, demand for video conferencing platforms increased exponentially. The Rule of 40 analysis also reveals that, unlike the other four firms that failed the benchmark in every post-IPO quarter, Zoom exceeded the forty-point threshold.

The qualitative findings, coded into sixty-one entries across six themes, reveal that a combination of subsequent mechanisms causes the underperformance observed in the twelve months following an IPO of B2C SaaS firms. The initial conditions for overpricing are derived from two factors: information asymmetry and narrative construction. Consequently, investor sentiment, amplified by B2C brand recognition and the "customer-as-investor" effect (a phenomenon described in interviews as customers being more likely to adopt a positive view toward a firm once they are also investors), drives prices above fundamental value in the early months. Following this initial rise in the fundamental price, the lockup expiration period approaches, leading to an acceleration in price corrections driven by supply shocks and negative insider signals. The liability of foreignness in capital markets is observed as evaluative culture distance rather than geographic proximity, and consequently, it adds information costs that further delay accurate pricing. SaaS unit economics, through the Rule of 40, reveals the absolute lowest point a firm's stock price eventually converges to.

This study expands the current theoretical framework in two ways. First, it confirms three well-documented mechanisms in the IPO literature within the specific B2C SaaS context: underwriter incentive misalignment (Loughran and Ritter, 2004), venture-capital exit pressure (Brav and Gompers, 2003), and the risk-premium discount on newly listed firms (Rock, 1986). Second, two emergent mechanisms are discussed throughout the interview: the "customer-as-investor" effect and the cascade selling mechanism, in which the rules established by proper investors state that if the stock price falls below a specified level, those same investors are forced to sell their shares, creating a self-reinforcing downward spiral. Ultimately, this research adds to the study of IPO performance and connects international business theories with practical software business models.

Abstract

Within the B2C SaaS market, many firms enter the public market at high valuations, and yet many of them see their share prices fall below market benchmarks within the first year of trading. Such phenomena have been discussed in both international business (IB) research and finance; however, the intersection of the two fields remains underexplored. This thesis examines why twelve-month post-IPO underperformance occurs in B2C SaaS firms, and how financial, behavioral, and international-market factors interact to produce it. Throughout this paper, a mixed-methods research design combines buy-and-hold abnormal returns and wealth relatives for five firms (Zoom, Dropbox, Wix, Squarespace, and SurveyMonkey) relative to the NASDAQ Composite, with a thematic analysis of five expert interviews. Four out of five firms underperformed the benchmark, with wealth relatives ranging from 0.550 to 0.919. However, there has been one outlier, Zoom, which, lifted by the exogenous effects of the COVID-19 pandemic, outperformed the market benchmarks. The findings suggest that the observed underperformance derives from a sequence of compounding mechanisms: information asymmetry, sentiment-driven overpricing, lockup expirations, the liability of foreignness, and the Rule of 40 failure. The contributions of this study are observed through the offering of an integrated framework that bridges current IPO finance and IB theory and research, and through the identification of two underexplored mechanisms – the customer-as-investor effect and cascade selling.

Keywords: IPO underperformance, B2C SaaS, buy-and-hold abnormal returns, wealth relatives, information asymmetry, investor sentiment, lockup expiration, liability of foreignness, Rule of 40, mixed methods.

Preface

This thesis was written during the spring term of 2026 as the concluding project of our Bachelor of International Business Administration program at Linnaeus University, Växjö and Kalmar. The topic originated from a conversation with Pedro's colleagues and was then further shared with Luis Beilicke, who also shared the same interest. Moreover, we were intrigued by the question of why consumer-facing software companies seemed to struggle after going public, despite strong brand recognition and rapid growth.

The research was not commissioned by any external organization and was independently conducted by the authors in accordance with the course 2FE52E frameworks.

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1 Introduction

1.1 Background

The initial public offering (IPO) has served as a significant milestone in the journey of technology companies, often marking the transition from private, venture-backed growth to the scrutiny of public capital markets. Over the past decade, the software-as-a-service (SaaS) sector has generated significant excitement among investors, with consumer-facing (B2C) SaaS firms often debuting at valuations that imply aggressive long-term growth trajectories (Ritter, 2024). Companies such as Zoom Video Communications, Dropbox, Wix, Squarespace, and SurveyMonkey entered public markets with revenue models heavily dependent on subscriptions, large international user bases, and the premise of category dominance, all of which heavily attracted investor attention and media coverage.

Throughout the international business (IB) literature, digital platform providers have been increasingly recognised as a distinct category of internationally oriented firms. Ojala, Evers, and Rialp (2018) extend international new venture (INV) theory to digital platform providers, arguing that these firms can achieve rapid internationalization through the borderless nature of their digital products. Brouthers, Geisser, and Rothlauf (2016) emphasise that iBusiness firms face unique internationalization challenges, consistently operating under what they call a "liability of outsidership" rather than the traditional liability of foreignness. These insights suggest that B2C SaaS firms occupy a special position in IB theory, enjoying product-market advantages from their digital nature but also facing capital-market disadvantages that have not yet been fully explored or theorised.

Yet, the post-listing reality for many of these firms has brought a certain level of sobering. A recurring pattern has emerged among B2C SaaS firms in which they debut at substantial valuation multiples, only to see their share prices decay below market benchmarks within the first twelve months of trading (Ljungqvist, Nanda, and Singh, 2006). Industry reporting on the current cycle confirms that this selectivity has intensified, with investors in early 2026 demanding clearer profitability pathways and governance rigour from technology issuers, and aftermarket performance remaining mixed despite a recovering pipeline (EY, 2026).This pattern is not entirely new; the broader phenomenon of IPO underperformance has been studied extensively in finance literature (Ritter, 1991;

Loughran and Ritter, 1995). However, the specific combination of factors directly impacting post-IPO underperformance in B2C SaaS—a sector defined by large international customer bases, global capital structures, and highly visible growth—has received limited academic attention. This gap exists at the intersection of IB theory (which emphasises internationalization asymmetry and behavioral factors) and finance theory (which highlights information asymmetry and behavioral factors); yet, few studies have integrated both perspectives.

This thesis aims to respond to the call by Arikan and Shenkar (2022) for international business research to treat capital markets as a neglected research location. It combines finance-based explanations of IPO underpricing with IB-based explanations of liability costs in international capital markets. Furthermore, it examines the effects of internationalization across both product markets and investor bases, investigating whether these factors amplify the post-IPO decline observed among B2C SaaS firms. By doing so, it contributes to both bodies of literature: to IB by broadening the understanding of liabilities beyond product market entry into capital markets, and to finance by highlighting how international complexities and dimensions influence the post-IPO performance of tech firms.

1.2 Problem Discussion

1.2.1 Theoretical Problematisation

The finance literature on IPO underperformance is well established, but does not adequately address the international dimension. Over time, IPO underpricing and long-run underperformance have been explained through a series of complementary mechanisms: information asymmetry and adverse selection (Akerlof, 1970; Rock, 1986), signaling theory (Spence, 1973; Ross, 1977), behavioral factors and investor sentiment (Baker and Wurgler, 2006; De Long et al., 1990), and supply-side dynamics such as lockup expiration (Field and Hanka, 2001; Brav and Gompers, 2003). Each of these explanations provides powerful insights within its domain; however, none explicitly addresses how the international composition of firms and capital flows might affect the performance or timing of such mechanisms.

The IB literature, conversely, has developed rich theories regarding the liabilities that foreign firms and new entrants face in product markets. The liability of foreignness (LoF), introduced by Zaheer (1995) and later expanded upon by subsequent academics (Mezias, 2002; Denk, Kaufmann, and Roesch, 2012),

describes the additional costs that a firm may encounter when operating in unfamiliar markets. More recently, Johanson and Vahlne (2009) revised the Uppsala internationalization model to highlight the liability of outsidership: the premise that firms outside established business networks face information and legitimacy deficits. Yet, these concepts have been almost entirely applied to product-market contexts. Capital markets—where firms must compete for capital and investor attention—represent a different kind of institutional environment to which LoF and the liability of outsidership may apply. However, this application remains largely unexplored (Arikan and Shenkar, 2022). Recent IB scholarship reinforces the urgendcy of this agenda, that Garcia-Canal and Guillen (2026) argue that digital platforms challenge traditional theories of the multinational enterprise because they internationalise by scaling digital systems and orchestrating global ecosystems rather than through incremental FDI, leaving the capital-market implications of these firms still largely under-theorised.

A third gap exists within SaaS unit economics. The private SaaS ecosystem has developed a sophisticated set of metrics for evaluating firm health and sustainability, including customer acquisition cost (CAC), customer lifetime value (LTV), net revenue retention (NRR), and the Rule of 40 (Gauthier, 2023; Damodaran, 2021). These metrics are central to how venture investors and private-equity firms assess and evaluate SaaS companies during their overall growth phase. However, the moment a SaaS firm enters the public markets, these private-equity evaluation frameworks collide with public-market investor expectations, which prioritise profitability, stable margins, and more traditional accounting metrics. Moreover, this transition has not been theorised in either the IB or finance literature, yet it is critical for understanding post-IPO performance in the SaaS sector.

Therefore, the core problem unfolds across three major dimensions: (1) Finance theories of IPO underperformance lack an international dimension and do not account for how the dispersion of firm operations and investors across borders affects the processing of information and pricing; (2) IB theories of liabilities remain nascent regarding their extension into capital market contexts, leaving a significant blind spot in the overall understanding of how international firms navigate investor expectations; and (3) Neither body of literature adequately addresses the specific valuation challenges of B2C SaaS firms, whose business models and unit economics diverge substantially from those of the traditional

manufacturing or services firms upon which the vast majority of IPO theory is based. Arikan and Shenkar (2022) explicitly call for IB research to bridge this gap and address these "neglected elements," identifying capital markets as the critical next step for future research.

1.2.2 Managerial Problematisation

From a managerial perspective, the stakes are significant. Founders and executives of B2C SaaS firms approaching their IPO must navigate conflicting signals and expectations. Private investors reward growth and user acquisition at almost any cost; public investors, on the other hand, demand strong unit economics and a clear path to profitability. This divergence in expectations creates a difficult transition. If the thesis's integrated framework can explain why and how B2C SaaS firms underperform post-IPO, it will provide valuable insights into: (a) how to time an IPO to minimise adverse selection and sentiment shocks; (b) what information disclosures are most credible to international investors; and (c) how to manage expectations surrounding the Rule of 40 trajectory during the first twelve months of public trading.

Similarly, investment professionals (analysts, equity investors, and investment bankers) benefit from an integrated understanding of how information asymmetry, sentiment, supply dynamics, international factors, and unit economics interact. This understanding can improve IPO valuation, investment timing, and overall risk assessment. For policymakers and capital-market regulators, understanding these dynamics is highly relevant, as it directly addresses implications surrounding market efficiency and investor protection in an increasingly internationalised and digital economy.

1.3 Research Questions

This thesis has been structured around a main research question and three supporting sub-questions:

Main RQ: How can the post-IPO stock-price underperformance of B2C SaaS firms be explained by the interplay of financial, behavioural, and international market factors?

SQ1: To what extent do B2C SaaS firms underperform market benchmarks (NASDAQ Composite) during their first twelve months as public companies?

SQ2: How do information asymmetry, investor sentiment, and lockup dynamics contribute to the observed post-IPO price trajectory?

SQ3: How does the liability of foreignness in capital markets manifest for digitally native, US-listed B2C SaaS firms with revenue streams internationally dispersed?

1.4 Purpose

The purpose of this thesis is to provide an integrated, multi-perspective explanation of post-IPO underperformance in B2C SaaS firms. Specifically, it aims to: (1) quantify the degree of underperformance experienced by the five case firms relative to the NASDAQ Composite Index throughout the first twelve months following their IPO; (2) identify the timing and magnitude of price reductions around specific events (such as earnings announcements, lockup expirations, and shifts in market sentiment); (3) explore, through semi-structured expert interviews, how finance professionals, equity analysts, former executives, and venture investors perceive the relative importance of factors such as information asymmetry, investor sentiment, supply-side effects, and international factors in explaining the observed performance patterns; and (4) develop an integrated framework that explains the underperformance following an IPO of a B2C SaaS firm through the interaction of financial, behavioral, and international-market factors.

1.5 Delimitations

This study focuses specifically on B2C SaaS firms with the following characteristics: predominantly subscription-based revenue models, significant international operations and user bases, a listing on a US exchange (NASDAQ or NYSE), and publicly available data for market and financial analysis. The selection of the five case firms reflects a purposive sampling strategy designed to broaden and maximise analytical depth rather than to achieve statistical generalizability. The twelve-month observation window is chosen to capture the critical transition period during which lockup expirations and initial earnings cycles occur; however, this timeframe inherently excludes long-term performance trends that may play out over

several years. This thesis does not address macroeconomic factors, sector-wide sentiment, or market-wide events (such as technology bubbles or market crashes) except insofar as they affect the five case firms. Additionally, the qualitative component is based on expert interviews rather than direct observation or corporate documents. While this approach limits access to internal decision-making processes, it allows for broader coverage of industry perspectives.

2 Theoretical Framework

This chapter develops an integrated theoretical framework for understanding post-IPO underperformance in B2C SaaS firms. Rather than presenting a fragmented overview of five different theories, the chapter emphasises how they interact and reinforce one another. The framework incorporates five theoretical perspectives: information asymmetry and signaling theory, investor sentiment and behavioral finance, lockup expiration and supply-side dynamics, the liability of foreignness in capital markets, and SaaS unit economics.

2.1 Information Asymmetry and Signalling Theory

Information asymmetry refers to a situation in which one party to a transaction possesses more or better information than the other. In the IPO context, company insiders, such as founders, early investors, and management, usually hold detailed knowledge of the firm's operations, growth path, product roadmap, and risk profile, to which outside investors do not have full access at the time of listing (Akerlof, 1970; Rock, 1986). This information gap often creates conditions for adverse selection: investors, aware that they are in an unfavorable position due to this information shortage, demand a discount, which in turn leads to the well-documented phenomenon of IPO underpricing on the first trading day (Ljungqvist, 2007). Recent empirical evidence reinforces this mechanism, that using an exogenous shock to investors' ability to acquire information, Yu et al. (2026) find that lower information-acquisition ability is associated with higher IPO underpricing, supporting the central role of asymmetric information in the pricing of new issues.

Signaling theory, developed by Spence (1973) and extended to corporate finance by Ross (1977), offers a complementary perspective. Firms seeking to distinguish themselves from lower-quality issuers can transmit costly and credible signals – such as retaining a larger percentage of ownership, appointing reputable underwriters, or submitting to strict governance requirements – to mitigate the risks associated with this information gap. Investment bankers and underwriters function as gatekeepers in this process (Beatty and Ritter, 1986; Carter and Manaster, 1990), with more reputable underwriters certifying the quality of the IPO and thereby reducing the perceived risk for investors.

However, the underwriter's role as a neutral certifier is complicated by misaligned incentives within the bookbuilding process itself. Underwriters must navigate complex network systems: while they serve the issuing firm, which prioritises maximizing proceeds, they must also serve institutional investors, who consistently demand favorable entry prices (Loughran and Ritter, 2004). In practice, this tension is often resolved in favor of institutional buyers. Banks consistently set the offer price below estimated demand to generate a first-day price increase, rewarding their institutional clients at the expense of the issuer (Ljungqvist, 2007). This systematic underpricing creates an unsustainable initial return, which subsequently declines as the market recalibrates toward the stock's fundamental value. Furthermore, analyst coverage may delay the price correction beyond the IPO date and prolong inflated expectations; however, this correction remains inevitable (Michaely and Womack, 1999). For B2C SaaS firms—which already rely heavily on future expectations and positive narratives rather than established financial track records—this underwriter-driven price distortion may magnify the existing information asymmetry, widening the gap between the IPO price and the firm's intrinsic value.

In the B2C SaaS context, the quality of signals is complicated by several factors. First, subscription revenue and user-growth metrics, which feature heavily in pre-IPO narratives and venture-capital discussions, may not translate into sustainable profitability. A firm with millions of users and rapidly growing revenue may still be losing money at scale if its unit economics (CAC, LTV, gross margins) are unfavorable. Investors often struggle to verify the true sustainability of these metrics from a prospectus alone. Second, SaaS firms often operate globally with revenue streams spanning multiple currencies and jurisdictions, making it difficult to assess the quality and stability of their international revenue. Third, many B2C SaaS firms lack the operational history and profitability track record that traditional firms possess; instead, they must rely on narratives and future projections, which are inherently subject to optimism bias.

The information resolution process, as described by Ritter and Welch (2002), suggests that the overall downward trend of stock prices often begins once post-IPO earnings reports reveal a firm's true cost structure. For SaaS firms, this repricing can be particularly severe if quarterly results show a lower customer-acquisition rate, rising customer attrition, or margins that are deteriorating much faster than expected. The gap between pre-IPO expectations (often set in a high-sentiment

environment) and post-IPO reality (revealed through earnings surprises) is frequently wider for young tech firms than for mature businesses, making the information asymmetry mechanism a significant driver in the SaaS context.

2.2 Investor Sentiment and Behavioural Finance

Behavioral finance challenges the efficient-market hypothesis by demonstrating that asset prices do not always reflect available information. Instead, investor sentiment—defined as the propensity to optimistically speculate on future cash flows and the general mood of the investing public—has a measurable effect on asset prices (Baker and Wurgler, 2006). This effect is strongest among firms that are young, unprofitable, and difficult to value. B2C SaaS IPOs fit this description closely: at the time of listing, they often lack positive net income, derive their valuations from future projections and growth multiples, and attract attention from retail investors drawn by brand recognition (Zoom, Dropbox, and Wix are all consumer-facing names) and media narratives.

De Long, Shleifer, Summers, and Waldmann (1990) model a setting in which irrational, sentiment-driven investors bid up the price of IPO shares beyond their fundamental value. These “noise traders” are commonly driven by enthusiasm, fear of missing out (FOMO), and extrapolation of recent performance. Ljungqvist, Nanda, and Singh (2006) extend this model to IPO pricing specifically, showing that in hot IPO markets (when sentiment is high), first-day returns are larger and long-run underperformance is vastly observed. The intuition is that when sentiment is high, underwriters can price IPOs more aggressively because of a strong demand, but the higher the price relative to fundamentals, the greater the eventual correction.

For B2C SaaS firms, the timing of sentiment reversion is critical. The first year of public trading typically coincides with the firm’s initial earnings disclosures (quarterly 10-Q filings and annual 10-K reports), which inject hard information into the market that can either confirm or contradict the pre-IPO dynamics. If the market had high/inflated sentiment at IPO, initial earnings reports often trigger a sharp downward repricing. Additionally, Shiller (2015) notes that when irrational exuberance subsides, it can trigger a period of overshooting on the downside, where prices fall below their fundamental value as the overall sentiment shifts from euphoria to pessimism.

The media's amplification of technology narratives further intensifies this sentiment effect. Press coverage of IPO launches, analyst upgrades, and executive commentary can increase retail-investor attention and drive participation. However, the media is a double-edged sword: while it can boost initial sentiment, once enthusiasm wanes and early missteps or disappointing results surface, the same media channels amplify negative sentiment (Luo and Wang, 2012), accelerating the price decline. More recent evidence reinforces this dual role: Lyu (2026), analysing nearly six thousand news articles around two hundred and thirty-nine IPOs, finds that pre-IPO media sentiment significantly predicts first-day returns and that sentiment reversals between the pre-IPO and listing-day periods contribute further to short-term mispricing.

2.3 Lockup Expiration and Supply-Side Dynamics

An IPO lockup agreement restricts insiders (founders, early investors, and employees with equity awards) from selling their shares for a specified period after listing, typically 90 to 180 days. The rationale is to align insider incentives with those of new public shareholders during the early days of trading and to prevent insiders from dumping their shares right when information asymmetry is at its highest, immediately after the IPO. Field and Hanka (2001) document a permanent decline in the share price of approximately three per cent around the lockup expiration date, tied to a significant increase in trading volume. Brav and Gompers (2003) confirm that this price decline is concentrated in firms backed by venture capital, which, in most cases, tend to have a higher number of locked-up shares than the general public.

The lockup mechanism operates through two classic channels: a supply shock (increased share availability for sale) and an information signal (insider selling after the lockup expires can signal that insiders believe the stock is fairly valued or overvalued). Brav and Gompers (2003) argue that for VC-backed firms, the supply effect is substantial, given that VCs typically hold large equity shares. Moreover, VCs have a strong incentive to exit their investments after an IPO, making them highly probable sellers once the lockup period expires. Li, Li, and Lu (2025) reinforce how insider alignment around the lockup shapes returns, arguing that when employees purchase IPO shares and hold onto them through the mandatory twelve-month lockup, the BHAR abnormal underperformance significantly

decreases during those twelve months. After the lockup expires, the premium also diminishes, which is consistent with the claim that once the lockup expires, insiders gradually initiate their divestment. Recent market events illustrate the practical weight of this mechanism, that when Klarna's post-IPO lockup expired in March 2026, roughly three hundred and thirty-five million shares became eligible for trading and the firm's valuation was openly re-tested by the market among concerns over its near-term profitability (Bloomberg, 2026).

For B2C SaaS firms specifically, lockup expiration introduces a supply shock at a highly sensitive moment. The typical lockup period for US IPOs is 180 days; thus, it often coincides with the firm's second quarterly earnings release (Q2 or Q3 results, depending on the timing of the IPO). If that earnings release disappoints (showing slower growth, higher churn, or deteriorating unit economics), the effect of increased share supply and negative information flow can exceed the three per cent average reported in earlier studies. This mechanism is particularly relevant for the five case firms examined in this study, four of which experienced lockup expirations within a twelve-month observation window. The only firm that did not experience a lockup expiration period was Squarespace, which, given its direct listing, had no lockup period; instead, it experienced insider selling throughout the entire period of study.

2.4 Liability of Foreignness in Capital Markets

The liability of foreignness (LoF), introduced by Zaheer (1995), describes the additional costs and difficulties that firms incur when operating outside their home institutional environment. Traditional LoF research concentrates on product-market entry and operational challenges: firms entering foreign markets lack local knowledge regarding customs and regulations, and therefore, must heavily invest in understanding local consumer preferences. However, the concept applies equally to capital markets, where firms must compete for investor attention, capital allocation, and analyst coverage.

In the capital-market scenario, LoF manifests through a combination of information costs and legitimacy deficits. Bell, Moore, and Filatotchev (2012) examine foreign IPOs on domestic exchanges and find that foreign firms experience higher costs of equity (reflected in lower IPO valuations relative to peers), increased analyst forecast errors, and longer periods for analyst coverage ramp-up. Baaij, Mom, Van

den Bosch, and Volberda (2015) link these effects to institutional distance; thus, the greater the distance between the firm's home institutions and those of the listing market, the more costly it is for the firm to communicate reliable information about its performance and governance to investors who are accustomed to operating according to different norms.

Recent empirical studies directly support findings in IPO capital markets. Song (2025) argues that foreign firms face heightened difficulties due to bipolar media coverage, but that their global presence helps offset these negative effects. The study finds that the liability of foreignness is more tied to unstable narratives than information costs. Banti, Biddle, and Jona (2024) show that foreign firms with IPOs in US markets face moderate liquidity liability, which home-country institutions cannot eliminate. Even after meeting all US regulatory requirements, foreign firms still face a liquidity discount, underscoring that compliance alone cannot overcome the liability of foreignness. Building on this evidence, Tupper and Mehta (2026) analyse three hundred and eighteen foreign IPO firms from forty-three countries listed on ten exchanges and fin that CEO human-capital signals—general international experience, foreign education, and host-country experience—are negatively associated with foreign IPO performance, suggesting that institutional distance shapes how capital market investors interpret leadership credentials in cross-border listings.

For B2C SaaS firms, the LoF in capital markets is particularly complex. These firms are often incorporated in the United States (Delaware) and listed on the NASDAQ or NYSE, which would theoretically minimise geographic LoF. However, they derive significant revenue from international markets—Zoom from China and Europe, Dropbox from users around the globe, and SurveyMonkey from international enterprises—and maintain global employee bases. This geographic dispersion creates institutional-distance costs: US-based investors find it difficult to assess the quality and stability of international revenue streams; currency exposure introduces volatility; and as operations span multiple jurisdictions, operational risks rise as a function of regulatory complexities. Denk, Kaufmann, and Roesch (2012) distinguish between objective institutional distance (measurable differences in regulations and business practices) and perceived institutional distance (how actors interpret those differences). For global SaaS firms, the gap between objective and

perceived distance can be large: the product is borderless; however, investors still apply geographic risk premiums based on traditional trade and FDI models.

The revised Uppsala internationalization model developed by Johanson and Vahlne (2009) emphasises the concept of liability of outsidership: firms outside established business networks face difficulties such as information and legitimacy costs that go beyond those explained by simple geographic distance. They can operate internationally, but they still lack the social and professional relationships that bring them closer to potential investors. For B2C SaaS, this outsidership dynamic is even more emphasised, as many tech firms lack the track record, trustworthiness, and relationships of well-established enterprises expected by traditional institutional investors. Li, Chen, Ortiz, and Wei (2022) argue that digitalisation fundamentally reshapes MNE theory; however, the capital-market implications of digital MNEs are still understood as premature and unexplored. Arikan and Shenkar (2022) identify capital markets as a "neglected location" in IB research, which urgently calls academics to examine how international factors play out in investor behaviour and security pricing.

The paradox for B2C SaaS is notable: these firms appear to be immune to borders and geographically unaffected in their product markets (low traditional LoF), and yet they face significant capital-market liabilities precisely because investors tend to evaluate them through traditional geographic and institutional lenses. A firm with 70 per cent of revenue derived from international sources is, from the capital-market perspective, a foreign firm, even though its product is available globally and so is its customer base. This mismatch between the economic reality (product availability and user base across the globe) and investor perception (foreign, geographically dispersed, institutionally distant) provokes additional discounts that compound with other mechanisms and further drive the post-IPO underperformance.

2.5 SaaS Unit Economics and the Rule of 40

The Rule of 40 is an industry metric used to determine the fundamental health of a company through two statements: the SaaS firm's revenue growth rate (year-over-year percentage growth) and its profit margin (typically EBITDA or free-cash flow margin) should equal or surpass 40 per cent (Gauthier, 2023; Damodaran, 2021). Furthermore, McKinsey and Company (2024) found that barely one-third of software companies actually achieve the Rule of 40, a pattern more

recently confirmed by the Boston Consulting Group (2025). Throughout 2011 until 2021, more than two hundred firm cases were observed, and only sixteen per cent of the time businesses overscored Rule of 40 performance, further exemplifying the difficulties of sustaining the growth-profitability balance. This difficulty has also been observed in the most recent data, in which an analysis of fifty-five listed SaaS companies found that, as of May 2026, only fifteen per cent of the firms cleared the Rule of 40 on an EBITDA basis (Aventis Advisors, 2026). The metric captures the fundamental scenarios and trade-offs that subscription-based business models face: a high-growth firm can afford to be unprofitable in the short term by heavily investing in customer acquisition, whereas a mature, low-growth firm must already be profitable to justify its valuation. The Rule of 40, therefore, determines through a simple framework whether a SaaS firm has achieved the right balance.

The mechanisms of the Rule of 40 are based on unit economics. A SaaS firm's most relevant metrics are: (1) Customer Acquisition Cost (CAC), the average cost to acquire a new customer; (2) Customer Lifetime Value (LTV), the total revenue expected from a customer throughout their lifetime; (3) Net Revenue Retention (NRR), the percentage of revenue retained and expanded from existing customers, taking into account "churn"; and (4) Gross Margin, the percentage of revenue that remains after direct costs of delivering the product. A healthy SaaS firm typically aims for a ratio between LTV:CAC of at least 3:1 and NRR above 100 per cent (indicating that expansion within existing customers is enough to offset churn). Recent benchmarking evidence underscores the importance of this threshold. A 2026 survey accounting for more than one thousand private B2B SaaS firms reported a median net revenue retention of 103 per cent, supporting the premise that for the typical firm, expansion revenue only narrowly offsets churn (SaaS Capital, 2026). The Rule of 40 translates the metrics into a unique performance scoreboard: if a firm is growing revenue at 50 per cent a year and maintaining a 0 per cent EBITDA margin (which means burning cash to sustain growth), it scores 50+0=50, exceeding the threshold and therefore suggesting that the business model is sustainable.

During the private phase of SaaS growth, venture-capital investors evaluate firms mostly through unit economics metrics. For example, a firm with strong NRR, expanding LTV:CAC ratios, and high gross margins is a strong investment, even if it presents a deeply negative net income. However, the moment a SaaS firm expands

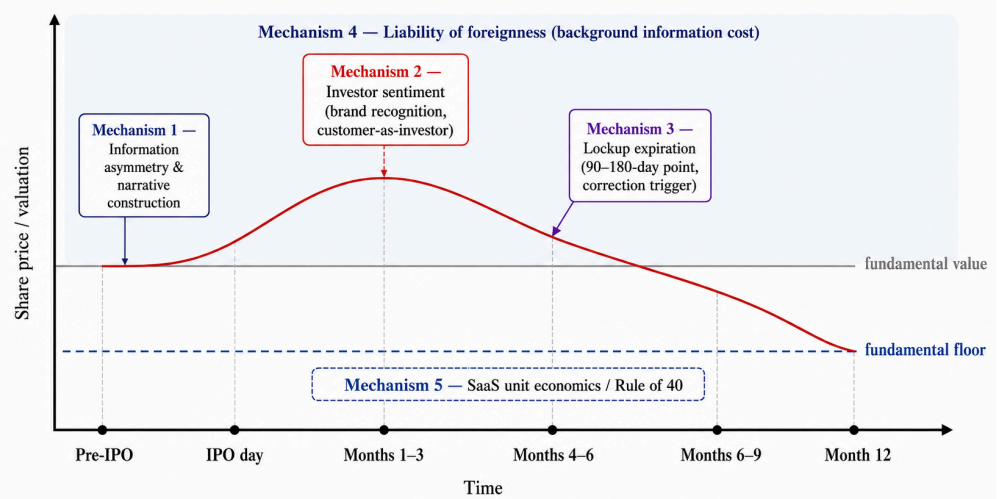
towards public markets, it faces a second audience of shareholders that require metrics beyond unit economics. Public-market investors also demand evidence of leverage within operations: they want to see that as the firm scales, profitability improves. They thoroughly examine traditional accounting metrics (GAAP net income, operating cash flow) and determine if a firm will eventually become profitable. This existing duality between the private-market valuation (emphasis on growth multiples and unit economics potential) and public-market valuation (based on a path to profitability and free cash flow generation) creates a value discontinuity, where in private markets the valuation may be significantly higher than in public markets. Firms that enter public markets while their Rule of 40 score declines, whether because of slower growth or faster deterioration of profitability, face a heightened risk of negative market repricing once the post-IPO earnings cycles commence. In reality, the first quantitative observation in many SaaS IPO cases reflects that within six to twelve months of listing, the market begins to question the firm's Rule of 40 trajectory, and such an action provokes a sharp multiple contraction if the firm appears to be falling below 40.

2.6 Theoretical Synthesis

The five theories discussed above are not independent explanations of B2C SaaS post-IPO underperformance; rather, they provide a compound explanation in which they magnify one another. Information asymmetry creates the initial conditions for mispricing beyond what fundamentals alone would generate. Lockup expirations introduce a supply-side effect that reduces information asymmetry, as these price adjustments often coincide with earnings announcements. SaaS unit economics, specifically the unfolding of the Rule of 40, establishes the fundamental value to which prices eventually converge. Finally, the liability of foreignness in capital markets adds the concept of geographic institutional distance, which suggests that firms with dispersed revenue bases are met with additional information costs that further amplify the initial asymmetry and delay the ability of the market to price them correctly (Song, 2025; Banti, Biddle, and Jona, 2024).

The interactions between the theories may be visualised as follows:

Figure 1. The integrated framework of post-IPO underperformance



Pre-IPO, Information Asymmetry, and Investor Sentiment control the pricing mechanism, with the IPO underwriter constructing a favorable narrative for firms. At listing, the valuation reflects the euphoria in the starting price. In the very first few months, trading is predominantly dominated by retail investors and "momentum traders", reinforcing the exhilaration in prices. When the Lockup Expiration occurs, approximately 90 to 180 days post-IPO, supply pressure and signaling questions about insider confidence arise. Simultaneously, the firm releases its first post-IPO earnings, which provide a hard reality check that often contradicts pre-IPO projections. The combination of a supply shock and the arrival of negative information triggers a re-evaluation of SaaS Unit Economics: analysts and investors are forced to recalibrate the Rule of 40 trajectory and determine whether there is a feasible path to profitability. For firms with global revenue streams, the Liability of Foreignness in Capital Markets compounds this recalibration; as a layer of protection, investors apply risk premiums for institutional distance and geographic dispersion. As a result of the combination of these factors, the stock price tanks over the first twelve months, producing the pattern of post-IPO underperformance that is the focus of this thesis.

When put together, these five theories provide an analytical framework that guides both the quantitative and qualitative drivers of post-IPO underperformance. The quantitative component measures the extent and timing of underperformance, whilst the qualitative component explores how each of the mechanisms actually operates

and how professionals rank their relative importance. Moreover, the framework gains competence and is refined as the analysis chapter develops, and the empirical material is thoroughly examined.

3 Methodology

This chapter explains the research methods used in the study. The structure follows the guidance of Saunders, Lewis, and Thornhill and moves from research philosophy and approach to design, data collection, analysis, operationalisation, quality checks, and ethics (Saunders, Lewis, and Thornhill, 2019).

3.1 Research Philosophy

The study uses a pragmatist research philosophy, which means methods are chosen to best answer the research question rather than to fit a fixed view of reality or knowledge (Saunders et al., 2019). Pragmatism suits this project because the research question has two parts: a measurable part that asks whether B2C SaaS firms underperform after their IPOs and an interpretive part that asks why they underperform. To answer both parts, the study combines numerical analysis of stock performance with interviews that explore how practitioners understand the causes. This mixed approach allows the study to use whatever methods are most useful for the question at hand.

3.2 Research Approach

The study follows a deductive approach, starting from the theoretical framework in Chapter 2 and testing whether those theories explain what happens in practice (Bryman and Bell, 2015). The five theoretical lenses, information asymmetry, investor sentiment, lockup dynamics, liability of foreignness, and SaaS unit economics, lead to specific expectations about post-IPO performance. The empirical work checks whether those expectations appear in the chosen cases and how they interact.

3.3 Research Design

The research design is mixed methods, combining quantitative stock-price analysis with qualitative semi-structured interviews. This is a concurrent embedded design in which both methods are used at the same time, but the quantitative strand has priority for establishing the main pattern, while the qualitative strand provides explanation and context (Creswell and Creswell, 2018). The study focuses on five case firms: Zoom Video Communications, Dropbox, Wix.com, Squarespace, and

Momentive Global (SurveyMonkey). These firms were chosen on purpose because they mainly use B2C subscription models, have substantial international operations and user bases, listed on a US exchange between 2013 and 2021, and have at least twelve months of public financial and market data after their IPOs. The firms differ in IPO year, size, post‑IPO path, and geographic revenue mix, which allows for useful cross‑case comparison while keeping the analysis focused on B2C SaaS dynamics.

3.4 Data Collection

The quantitative data collection centres on daily adjusted closing prices for each firm and for the NASDAQ Composite for the twelve months following each IPO. These price series were obtained from standard financial databases such as Yahoo Finance, Bloomberg, or CRSP. To guarantee that correct and fair parameters are used for each firm, buy-and-hold abnormal returns (BHAR) and wealth relatives were calculated by comparing the firm's cumulative return to the benchmark's cumulative return during the same period, following the event-study logic (Ritter, 1991; Loughran and Ritter, 1995). Wealth relatives provide a numerical result of this comparison, in which values below 1.00 indicate underperformance (Loughran and Ritter, 1995). Supplementary financial variables, quarterly and annual revenue growth, EBITDA margin, proxies for customer acquisition cost, net revenue retention, gross margin, and Rule of 40 scores, were extracted from IPO prospectuses (S‑1 filings), quarterly reports (10‑Q), and annual filings (10‑K and 20‑F) available on the SEC EDGAR platform.

Qualitative data was gathered through semi‑structured interviews with five experts who have direct knowledge of SaaS business models, IPO processes, or post‑IPO market behaviour. The target group includes equity analysts who cover SaaS, venture‑capital, and growth‑equity investors with SaaS portfolios, investment bankers who have worked on technology IPOs, and former executives or advisors from the case firms. Respondents were identified through purposive sampling and professional networks, prioritising people with direct, relevant experience. Interviews were conducted by video call, recorded with informed consent, and transcribed verbatim. Each interview lasted roughly thirty to forty‑five minutes.

3.5 Data Analysis

The quantitative analysis uses an event-study approach focused on buy-and-hold abnormal returns (BHAR) and wealth relatives. For the five firms under analysis, the twelve-month buy-and-hold returns were compared and analysed against the NASDAQ Composite return to measure the possibility of an abnormal performance. To calculate the BHAR, we compare the difference between the firm's compounded return and the benchmark's compounded return during the same period. Wealth relatives, as introduced by Loughran and Ritter (1995), express the same idea of comparison, but as a ratio: the gross return of the firm (1+R_firm) divided by the gross return on the benchmark (1+R_benchmark). A wealth relative below 1.00 indicates underperformance. This works directly as a Public Market Equivalent (PME), which compares venture capital and private equity returns to the stock market.

The BHAR methodology was chosen for its alignment with real-world investment strategies, accurately reflecting the experience of an investor who purchases shares on the IPO date and holds them for the measurement period (twelve months). The main alternative, the calendar-time portfolio approach, requires frequent rebalancing, and given the small sample of firms that this study covers, statistical power gets severely limited (Ritter, 1991; Loughran and Ritter, 1995; Ritter, 2026, personal communication, 21 April). Statistical significance was assessed using standard errors and bootstrap confidence intervals where appropriate to handle skewed return distributions (Ljungqvist, 2007). Supplementary tests examined return behaviour around key events, lockup expirations, quarterly earnings announcements, and analyst rating changes, to see whether these events line up with significant price moves. Lockup expirations are included because prior research shows they often cause price drops and volume spikes as insiders become free to sell (Field and Hanka, 2001; Brav and Gompers, 2003). Time-series decomposition was used to separate firm-specific movements from market-wide trends, helping to isolate the firm effects of interest.

The qualitative analysis follows thematic coding as described by Braun and Clarke (2006). The process begins with careful reading of transcripts, followed by line-by-line coding to generate initial codes, grouping codes into themes, reviewing themes against the data to ensure they fit, defining and naming themes, and finally

writing up the findings. The theoretical framework provides a deductive coding structure mapped to the five lenses, but the analysis also allows for new themes to emerge inductively from the interviews. NVivo was used to organise and manage the coding work, supporting the systematic storage, retrieval, and comparison of coded segments across all five interviews (Bazeley and Jackson, 2013).

3.6 Operationalisation

Operationalisation explains how each main concept is measured or explored in both the quantitative and qualitative parts. Information asymmetry is measured quantitatively, through IPO underpricing (first-day return), analyst forecast dispersion around the IPO, and bid-ask spread behaviour during the first year; qualitatively it is explored through interview questions about perceived information gaps, the credibility of signals such as underwriter reputation and governance commitments, and the clarity of prospectus disclosures on unit economics (Akerlof, 1970; Spence, 1973). Investor sentiment is measured quantitatively with media-attention proxies, retail trading volume as a share of total volume, and IPO-market heat indices; qualitatively, it is explored through interviewees' recollections of market mood, media narratives, and signs of herd behaviour or fear of missing out (Baker and Wurgler, 2006; De Long et al., 1990). Lockup expiration is measured by abnormal returns and abnormal volume in a five-day window before and after the expiry, and the signalling aspect is explored through interviews about insider motivations and how selling or holding shares after lockup is interpreted by the market (Field and Hanka, 2001; Brav and Gompers, 2003). Liability of foreignness is operationalised quantitatively via the share of international revenue, a geographic concentration index of shareholders and analyst coverage breadth; qualitatively, it is explored through interview data on cross-border investor understanding, institutional distance, and any geographic risk premiums or currency-related valuation adjustments (Denk, Kaufmann, and Roesch, 2012; Bell, Moore, and Filatotchev, 2012). SaaS unit economics are measured with Rule of 40 scores, CAC payback periods, NRR trends, and gross-margin trajectories; interviews probe expert views on metric sustainability and differences between private-market and public-market valuation approaches (Damodaran, 2021; Gauthier, 2023).

3.7 Quality Criteria

Validity and reliability are addressed through several strategies. Construct validity is strengthened by triangulating price data, filings, media coverage, and interview evidence so that each theoretical concept is examined from more than one angle (Yin, 2018). Internal validity is supported by using a deductive coding frame tied to the theoretical model and by comparing patterns across multiple cases rather than relying on a single example. External validity is limited by the purposive case selection, so the findings are intended to be analytically generalisable to B2C SaaS IPOs rather than statistically generalisable to all IPOs or all technology firms. Reliability is improved by documenting data-collection steps, keeping a clear interview protocol, and providing a transparent account of the coding process so that other researchers could, in principle, replicate the study (Bryman and Bell, 2015; Saunders et al., 2019).

3.8 Ethical Considerations

Ethical procedures follow the Swedish Research Council's guidelines and the Faculty of Business and Economics at Linnaeus University (Vetenskapsrådet, 2017). Interview participants received an informed-consent form explaining the study's purpose, the voluntary nature of participation, the right to withdraw at any time, and how data is handled. Interview transcripts were anonymised and stored securely; audio files were encrypted and deleted after transcription and analysis. The quantitative data are public and do not raise privacy concerns. The authors also note the controlled use of AI tools for language editing and idea organisation in line with institutional guidance.

3.9 Author Contributions

The thesis is written by Pedro Henrique Beraldo Ceccarelli and Luis Beilicke, who have worked together on research design, literature review, and methodological approaches. Throughout the analysis, the authors documented individual roles in data collection, analysis, and writing. Pedro Ceccarelli took primary responsibility for the quantitative analysis, including BHAR and wealth-relative calculations, Rule of 40 computations, and the construction of the appendices. Moreover, Pedro was also responsible for the qualitative research design and conducting the interviews. Luis Beilicke took primary responsibility for revising all documented data and

helped draw conclusions from the gathered data. Both authors accept responsibility for the accuracy and integrity of the work.

4 Case Firms and Empirical Context

This chapter provides an overview of the five case firms and their post-IPO context, establishing the empirical setting for the quantitative and qualitative analyses presented in Chapters 5 and 6.

4.1 Case Firm Overview

This section profiles the five case firms that form the empirical basis of the study. Although the companies vary in size, date of listing, and geographic footprint, all five are venture-backed B2C SaaS firms that built international user bases on subscription revenue before going public on US exchanges. The following table summarises the key characteristics of each:

Table 4.1 – The five case firms at IPO

Firm	Product/ category	Headquarters	Exchange & IPO date	Valuation at IPO	International revenue share
Zoom Video Communications	Video conferencing	San Jose, USA	NASDAQ — Apr 2019	≈ USD 9.2 bn (at $36/share)	≈ 18% (APAC + EMEA, FY ended Jan 2019)
Dropbox	Cloud storage & file sharing	San Francisco, USA	NASDAQ — Mar 2018	≈ USD 8.2 bn (at $21/share)	≈ 48% (FY2017)
Wix.com	Website building	Tel Aviv, Israel	NASDAQ — Nov 2013	≈ USD 0.6–0.8 bn (at $16.50/share)	Majority from outside Israel — mainly North America & Europe
Squarespace	Website building / ecommerce	New York, USA	NYSE direct listing — May 2021	≈ USD 7.4 bn (fully diluted, $50 reference price)	≈ 31% (FY2020)
Momentive Global (SurveyMonkey)	Online survey software	San Mateo, USA	NASDAQ — Sep 2018	≈ USD 1.5 bn (at $12/share)	≈ 35% (FY2017)

Sources: Compiled from each firm's IPO registration statement — Dropbox, Inc. (2018); Squarespace, Inc. (2021); SVMK Inc. (2018); Wix.com Ltd. (2013); and Zoom Video Communications, Inc. (2019). Final offer prices are confirmed in each firm's IPO pricing prospectus.

Two of the five case firms have left public markets: Squarespace was taken private by Permira in 2024, and Momentive Global was acquired by Zendesk in 2022. Therefore, this motivates the need to obtain their price data from secondary sources, as noted in the Limitations.

The five case firms are identified as B2C SaaS companies. Zoom, the only outlier among the five companies, was already profitable in 2019 (Zoom Video Communications, Inc., 2019), and it is the only firm to outperform the benchmark over the twelve-month window. Dropbox was one of the largest tech IPOs in the US in 2018, listing with over 500 million registered users (Dropbox, Inc., 2018). Wix is the clearest example of a liability of foreignness case in the study: it is headquartered in Tel Aviv and yet NASDAQ-listed, and registered with the SEC as a foreign private issuer on Form F-1 rather than the domestic Form S-1 (Wix.com Ltd., 2013), and it is by far the smallest IPO of the five. Squarespace is the only direct listing (Squarespace, Inc., 2021), with no underwriter and no first-day "pop," and it opened below its reference price. Momentive Global (SurveyMonkey) was listed under the ticker SVMK (SVMK Inc., 2018) back in 2018, and it is the longest-established consumer brand.

5 Results

The following chapter presents the empirical findings of the study in two divisions. The first part includes the reports of the quantitative results: buy-and-hold abnormal return, lockup expiration effects, and Rule of 40 scores for the five case firms - Zoom, Dropbox, Wix, Squarespace, and SurveyMonkey. The second part then goes on to report the qualitative findings from five semi-structured expert interviews, organised according to the deductive coding frame derived from the theoretical framework mentioned above in Chapter 2. Full data tables and the complete thematic coding matrix are provided in the appendices.

5.1 Quantitative Results

5.1.1 Buy-and-Hold Abnormal Returns

After a thorough review of historical price data for the five case firms, it is possible to establish a clear directional pattern: each firm experienced noticeable price changes relative to the NASDAQ Composite during the twelve months following its IPO, with four out of five underperforming the market benchmark during the observation period. Media reports and analyst feedback from the post-IPO periods of these firms clearly highlight declines in user growth, rising churn, margin pressure, and questions about the sustainability of the growth previously observed. All of the cited observations align with the theoretical expectations regarding information resolution and the Rule of 40 reassessment (Ritter and Welch, 2002; Damodaran, 2021). Furthermore, this consistency drives the choice of BHAR as the primary performance measure (Ritter, 1991; Loughran and Ritter, 1995).

Table 5.1 summarises the twelve-month buy-and-hold abnormal returns (BHAR) and wealth relatives for the five case firms. BHAR is calculated as follows: the difference between each firm's cumulative return from its first-day closing price and the NASDAQ Composite's return over the same period, following the methodology established by Ritter (1991) and Loughran and Ritter (1995). Moreover, a wealth relative below 1.00 means that for every dollar invested in the firm at its first day close would have generated lower returns than the same dollar invested in the NASDAQ Composite over the same period.

Table 5.1: Twelve-Month BHAR and Wealth Relatives (from First-Day Close)

Firm	IPO Date	First-Day Close ($)	12-Mo Close ($)	Firm Return	NASDAQ Return	12-Mo BHAR
Zoom	Apr 2019	62.00	150.06	+142.0%	+8.2%	+133.9%
Dropbox	Mar 2018	28.48	21.72	–23.7%	+6.7%	–30.4%
Wix	Nov 2013	16.31	17.69	+8.5%	+18.0%	–9.5%
Squarespace	May 2021	43.65	20.35	–53.4%	–15.2%	–38.1%
SurveyMonkey	Sep 2018	17.07	12.50	–26.8%	+0.3%	–27.1%

Table 5.2: Wealth Relatives at 1, 3, 6, 9, and 12 Months Post-IPO

Firm	1 Month	3 Months	6 Months	9 Months	12 Months
Zoom	1.485	1.496	1.054	1.038	2.238
Dropbox	1.046	1.103	0.831	0.803	0.715
Wix	1.418	1.538	1.138	0.972	0.919
Squarespace	1.242	0.988	0.681	0.704	0.550
SurveyMonkey	0.785	0.751	0.879	0.928	0.730

Four of the five firms produced negative twelve-month BHAR values, with wealth relatives ranging from 0.550 (Squarespace) to 0.919 (Wix). The largest recorded absolute underperformance at -38.1 percentage points is observed in Squarespace, followed directly by Dropbox with -30.4 pp and then SurveyMonkey at -27.1 pp. Wix is one of the two companies that have registered a positive absolute return, it has achieved a 8.5 per cent return over twelve months but is still considered underperformance due to its relative performance to the NASDAQ Composite which has gained 18.0 per cent in the same window, producing a BHAR of -9.5 percentage points.

Zoom is the only exception to our case firms. Its twelve-month BHAR of +133.9 percentage points and wealth relative of 2.238 reflect the extraordinary demand during the COVID-19 pandemic, which created a high demand for video

conferencing services from March 2020 onwards. Notably, Zoom outperformed strongly in its early months - wealth relatives of 1.485 and 1.496 at one and three months mark - but this advantage was reduced significantly by the six-month mark (1.054) and nine-month mark (1.038), suggesting the stock was converging toward parity with the benchmark before the pandemic-driven surge reversed the trajectory. This pattern makes Zoom an outlier whose twelve-month performance must be interpreted separately from the remaining four case firms.

Looking at Table 5.2, the time-path of wealth relatives reveals additional patterns to further analyse. An immediate finding is that four of the five firms initially outperformed or closely tracked the NASDAQ Composite in their first months. Dropbox posted wealth relatives of 1.046 and 1.103 at one and three months. Wix displayed an even stronger early performance at 1.418 and 1.538, suggesting substantial initial investor interest. This early outperformance subsequently reversed during months six and nine. Dropbox declined 0.831 at six months and 0.803 at the nine-month mark as the market corrected, while Wix fell below parity by the nine-month mark (0.972) after its strong start faded around the lockup expiration window. SurveyMonkey was the outlier, underperforming from the outset - 0.785 at month one and 0.751 at month three - as the October 2018 market correction compounded the post-IPO sentiment reversion, although it partially had a recovery phase by the six- and nine-month period (0.879 and 0.928) before declining again. Squarespace initially outperformed the benchmark at the one-month mark (1.242) but deteriorated drastically after and was the only firm whose twelve-month wealth relative (0.550) was lower than all of its interim measures, indicating a persistent and accelerating pattern of underperformance throughout the observed period.

5.1.2 Lockup Expiration Event Analysis

Table 5.3 reports the abnormal return around the lockup expiration date for each firm, which is calculated as such: the difference between the firm's cumulative return from the first-day close to the lockup date and the NASDAQ Composite's return over that same period.

Table 5.3: Abnormal Returns at Lockup Expiration (~180 Days Post-IPO)

Firm	Lockup Expiry	Price Change (%)	NASDAQ Change (%)	Abnormal Return (%)	Direction
Zoom	Oct 15, 2019	+14.7	+1.9	+12.8	Positive
Dropbox	Sep 19, 2018	–9.9	+11.0	–20.9	Negative
Wix	May 5, 2014	+21.6	+3.4	+18.2	Positive
Squarespace	No lockup – direct listing	-	-	-	n/a
SurveyMonkey	Mar 25, 2019	–12.7	–4.6	–8.1	Negative

Note: Squarespace went through a direct listing process, in which no stockholders entered into contractual lockup agreements or transfer restrictions (Squarespace, Inc., 2021). Therefore, Squarespace has been excluded from this measure as it has no lockup expiration date.

As noted above, only four of the five case firms have a conventional underwriter lockup. Unlike the others, Squarespace insiders were free to sell from the first day of trading. Among the four firms with a lockup expiration, two recorded a negative abnormal return on the expiration date (Dropbox and SurveyMonkey). Dropbox lost 9.9 per cent from its first-day close to its lockup date, while the NASDAQ gained 11.0 per cent, resulting in an abnormal return of -20.9 percentage points that is consistent with the supply-shock and signalling effects described by Field and Hanka (2001).

Zoom and Wix had recorded positive abnormal returns throughout their lockup period. In Zoom's case, the lockup period expired before the COVID-19 global pandemic, and the stock at that point had already appreciated. Wix's lockup-window return of +18.2 pp is particularly noticeable. The stock had risen from $16.31 to $19.84, while the broader market had only gained 3.4 per cent. This early strength, however, did not persist throughout the second half of the observation period, as the stock subsequently declined as it approached the twelve-month mark.

5.1.3 Rule of 40 Analysis

Table 5.4 reports the Rule of 40 scores for each firm across the first four quarters following their IPO. The Rule of 40 score is the sum of year-over-year revenue

growth and EBITDA margin. If the score is at or above 40, this indicates a sustainable balance between growth and profitability (Gauthier, 2023; Damodaran, 2021).

Table 5.4: Rule of 40 Scores - First Four Quarters Post-IPO

Firm	Q1	Q2	Q3	Q4	Average
Zoom	93.7	84.2	79.5	178.8	109.1
Dropbox	21.8	23.9	25.5	22.8	23.5
Wix	23.0	23.0	23.0	20.0	22.3
Squarespace	28.0	25.0	14.0	7.0	18.5
SurveyMonkey	4.0	8.0	12.0	15.0	9.8

Once again, Zoom was the only case firm that consistently exceeded the Rule of 40 reference across all four post-IPO quarters. This is mostly due to their exceptional revenue growth rates. Its fourth-quarter score of 178.8 reflects the demand, which was pandemic-driven. The remaining four case firms have not succeeded the Rule of 40 reference in any quarter. Beginning with Squarespace, it began closest to the threshold at 28.0 but declined rapidly throughout to 7.0 by its fourth quarter, a trajectory consistent with decelerating revenue growth without corresponding improvement in margins. Next up, SurveyMonkey showed a reverse pattern, with scores that improved from 4.0 to 15.0, although this is still short of the 40-point reference. Dropbox and Wix both hovered in the low 20s throughout, reflecting the combination of moderate revenue growth and persistent negative or near-null profitability that characterises B2C SaaS firms competing for market share through high customer acquisition costs.

5.2 Qualitative Results

The next section reports the findings from five semi-structured interviews conducted between April and May 2026. The interviewees were selected through purposive sampling to represent different perspectives on SaaS IPO dynamics. Lorenzo Capello is a startup operator and finance professional with experience at a French B2C SaaS firm. Alessandro Lombardo is a venture capital scout at Italian Founders Fund. Alberto Fratini is a venture-capital fellow evaluating early-stage deals. Finally, Henrique Nora is an equity capital markets (ECM) banker at Bradesco BBI with direct IPO structuring experience, and Théodore Tassin de Charsonville is an investment banking vice president who is specialising in ECM and private financing

at Stifel Institutional in Paris, his experience spans across European and US capital markets, including the XP Inc. NASDAQ IPO at Goldman Sachs. All interviews have been conducted via a video conference and transcribed verbatim; organised according to the deductive coding frame mapped to the five theoretical lenses in Chapter 2, additionally supported by emergent themes that arose inductively during coding. The full thematic coding matrix with all sixty-one coded entries is provided in Appendix B.

5.2.1 Information Asymmetry and Signalling

The most frequently coded theme was Information asymmetry, with fifteen entries distributed across all five interviews. The interviewees focussed on the view that B2C SaaS firms engage in deliberate narrative construction before and during the IPO process. Capello described the IPO prospectus as overwhelmingly constructed storytelling, having observed that companies design their own data in ways that cover actual performance. He cited the definition of an “active user” as an example of data ambiguity that firms exploit. The threshold can be changed to dramatically adjust the growth narrative by defining it as a daily login or a monthly purchase. As Capello put it, "with just tweaking what counts as an active user, you can get the retention you want — you can show the numbers you want." Yet this is rarely questioned in pre-IPO due diligence.

Lombardo confirmed that narrative construction is pervasive, then drawing a parallel to how Tesla positions itself not as an automobile manufacturer but as a company pursuing interplanetary ambition. He argued that B2C SaaS products are by their nature easier to be evaluated by outside investors, rather than B2B products, since consumer-facing software can be tested directly, while enterprise relationships and distribution channels are blurred. This observation introduces a useful distinction: B2C firms may have lower product-level information asymmetry but higher financial-metric opacity, since their growth narratives rely on user metrics that are difficult to verify at scale.

Fratini offered the most direct account of information manipulation, describing how companies inflate their sales pipelines, exaggerate technical capabilities (especially in relation to A.I.), and overpromise on cash runways. As Fratini described it, a product is often "depicted as something disruptive when it's literally just a bit of incremental UI on top of existing stuff." Fratini then highlighted that these are not

always intentional deception, but rather founders and management teams develop genuine assumptions about projections that are out of reach. The difference between a deliberate misrepresentation and sincere over-evaluations is how the information resolution process unfolds post-IPO, since the latter implies that even insiders can be surprised by the factual gap between projections and actual results.

Nora, speaking from the investment banking perspective, confirmed that the bank's role in constructing the IPO narrative is highly relevant, noting that the bank's reputation serves as a credibility mechanism. The banks are effectively selling the deal to their institutional client base, and their willingness to associate with the issuer constitutes a signal in the sense described by Beatty and Ritter (1986). Additionally, it can also be acknowledged that there are innate limitations within the S-1 filing, noting that investors cannot fully assess a company's health from the prospectus alone.

Charsonville, speaking from his experience structuring European IPOs at Stifel Institutional, offered an interesting perspective on the price discovery process. He described a multi-stakeholder dynamic in which different parties hold conflicting valuation expectations before the IPO, in which the CEO typically prefers a lower valuation to reduce delivery pressure, board members and existing investors seek the highest possible price for their exit, and competing banks pitch aggressively to win the mandate. This internal tension means that the IPO price reflects a compromise rather than a single estimate of fundamental value. Charsonville also noted that the prospectus itself is legally restricted and generally transparent, since management and banks sign on their accounts and face prosecution risk for potential material misstatements. However, he observed that firms strategically withhold information to protect competitive advantages. He further identified a structural difference in the IPO process between European and American markets. For Europe, syndicate analysts publish pre-pricing research reports with explicit valuation views. In contrast, in the United States, investors are sufficiently specialised to conduct their own valuations without such guidance. This distinction implies that the information environment facing investors differs across markets, even for the same firm.

Lastly, Capello identified the transition from non-GAAP to GAAP accounting as a critical moment in the information resolution process. SaaS firms routinely use non-GAAP metrics (adjusted EBITDA, non-GAAP operating income) during their

private fundraising rounds, and the S-1 filing forces the comprehensive GAAP disclosure. In his view, this is the transition where the pre-IPO narratives are most vulnerable to correction.

5.2.2 Investor Sentiment and Behavioural Finance

Twelve entries were coded under the investor sentiment theme. All five interviewees agreed that market sentiment plays a significant role in how IPOs are priced and how stocks perform afterwards, though they each pointed to different reasons why.

Lombardo argued that B2C firms benefit from a sentiment advantage rooted in brand familiarity. Retail investors who use products like Zoom or Dropbox in their daily lives are more likely to invest in those companies' IPOs than in enterprise software firms, whose products most individuals have never encountered. This aligns with Baker and Wurgler's (2006) finding that sentiment has the greatest impact on firms that are hard to value and draw significant retail investor attention.

Fratini compared today's AI investment climate to "a new gold race," driven by investors' fear of "being locked out from the separation of wealth in the future." Although the AI boom came after the IPOs studied in this research, he argued that the same logic applied during the 2019–2021 SaaS wave, when investors rushed to gain exposure to the subscription-economy shift and priced companies accordingly. He also raised a point not covered in the existing literature, that early venture-capital investors sometimes push companies to go public sooner than their financials would justify, simply to cash out their positions. When this happens, the company enters the public market with an investor base that is looking to sell rather than to hold for the long term.

Nora provided a practical way of judging whether an IPO was priced correctly. He explained that banks typically aim for a first-day price rise of fifteen to twenty-five per cent and that anything above eighty per cent suggests the shares were priced too low, handing a windfall to institutional buyers at the issuer's expense. By this measure, Zoom's 72.2 per cent first-day gain sits just below the mispricing threshold, while SurveyMonkey's 42.3 per cent and Dropbox's 35.6 per cent fall within the range expected under normal bookbuilding.

Charsonville provided the most direct personal confirmation of the customer-as-investor effect. He recounted that upon finishing his bachelor's degree

during the COVID-19 pandemic, he purchased shares in Zoom, Spotify, and Peloton, describing them as "only companies I knew". This firsthand account from a finance professional clearly illustrates that even knowledgeable investors are influenced by product familiarity when making investments decisions. He further argued that the post-COVID bubble timing was the primary reason for B2C SaaS underperformance, noting that most firms in this category IPO'd at multiples that reflected bubble-level valuations. Charsonville also described a retail distribution mechanism observed in France, that when an IPO becomes available, retail banking platforms notify all account holders, and B2C brands with high name recognition receive disproportionate attention compared to unfamiliar B2B firms. This demand channel provides a concrete mechanism through which brand familiarity translates into retail investor participation.

5.2.3 Lockup Expiration and Supply Dynamics

Seven entries were coded under the lockup expiration theme. Capello and Lombardo both framed insider selling after lockup expiration as unforeseen in the relationship between insiders and the company. Capello noted that long-term employees with accumulated stock options have a natural and legitimate desire to diversify their wealth and that their selling does not necessarily signal pessimism about the company's prospects. When asked to rank the relative importance of the five theoretical factors, Capello had roughly estimated that lockup dynamics account for thirty per cent of the post-IPO effect: "lockup plays a role — let's put 30%." He highlighted, however, that the mechanisms are not additive but rather interactive.

Nora introduced a perspective not found in the existing literature on lockup agreements. He described the role of anchor investors - termed "fidelity investors" - who take up to thirty per cent of the total IPO allocation to signal stability to other participants. These anchor investors commit to holding the share through and beyond the lockup period, and this trust-building mechanism counteracts the negative signal of insider selling. This observation extends to lockup literature beyond its focus on supply shocks and insider signals (Field and Hanka, 2001; Brav and Gompers, 2003) to include a demand-side signalling function.

Charsonville added three observations that expand the lockup analysis. Firstly, he emphasised that lockup agreements are negotiable rather than standardised, noting that he has seen lockup periods ranging from ninety days to one year, with different

terms applied to different shareholder groups within the same IPO. This variability means that lockup expiration is not a single event but a potential series of supply shocks. Secondly, he reframed the "money left on the table" argument by noting that only ten to twenty per cent of a company's capital is typically sold at IPO, meaning that if the stock rises substantially, then the remaining ninety per cent of pre-IPO shareholders benefit from higher valuation, making a large first-day pop potentially advantageous for the overall shareholders. Lastly, he described a cascade selling mechanism not documented in the existing lockup literature, that when a stock declines after IPO, institutional investors may be forced to sell since their mandate rules require them to exit positions that breach certain loss thresholds. This forced selling pushes the price even further down, triggering additional mandate driven exits sending it into a cascade.

5.2.4 Liability of Foreignness in Capital Markets

Six entries were coded under the liability of foreignness theme, making it less discussed than the other theoretical lenses, although Charsonville's cross-border experience provided substantial additional evidence. Capello, drawing on his experience at Powder (a French B2C SaaS company), described a significant cultural gap between European and American investors. In his account, European investors are more cautious and expect proof of strong unit economics earlier in a company's development, whereas American investors are more willing to accept losses if the company is growing rapidly. He stressed that geographic distance itself was not the main issue, but instead, the relevant aspect of foreignness is the difference in how investors evaluate companies rather than where they are located. This finding aligns with the revised concept of institutional distance proposed by Denk, Kaufmann, and Roesch (2012) and supports the thesis's argument that liability of foreignness in capital markets works through differences in perception and institutional norms rather than physical location alone.

Nora confirmed that non-US companies face disadvantages when listing on American stock exchanges because US investors are less familiar with their brands and business models. He noted that these companies still choose the US capital market because the pool of available investors is much larger. This trade-off, accepting the costs of being foreign in exchange for access to greater market depth, is consistent with the LoF paradox identified in Section 2.4 of the theoretical framework.

Charsonville provided the most detailed account of cross-border dynamics. He confirmed a strong home-field advantage, noting that investors generally prefer to invest in companies they are familiar with. As Charsonville put it, "American investors like to invest in American companies — if you know the company, it's better for you." He observed that European companies rarely list in the United States unless they are biopharma firms seeking FDA-related investors, specialisation, or high-profile technology companies that have effectively become American before listing. He also characterised the differences between US and European investors in terms that extend the evaluative-culture concept, that American investors are more specialised by sector, have larger capital pools, and make faster decisions, whereas European investors tend to be more generalist, require longer education periods during roadshows, and have smaller ticket sizes. This characterisation suggests that the LoF in capital markets is not merely about unfamiliarity but about structural differences in how investor communities are organised and how they process information about new issuers.

5.2.5 SaaS Unit Economics and the Rule of 40

SaaS unit economics was the second most frequently coded theme, with thirteen entries. Capello described the Rule of 40 as a widely used industry benchmark: from his work in telecom investment banking, he recalled that "every… company pitch included a slide of [the] rule of 40 — where [the company] is placed and the competitors." He also identified a key tension in the growth-versus-profitability balance. At early stages (pre-Series B), growth rate matters more than unit economics, but the focus shifts decisively toward unit economics at later stages. He cited Gorillas, a Berlin-based delivery company that received large amounts of funding but failed because its business model was financially unsustainable, as an example of what happens when companies cannot make this transition successfully.

Lombardo identified customer acquisition cost (CAC) as the single most important unit economics measure, arguing that high acquisition costs relative to revenue are a clear sign that a product has not achieved product-market fit. He also offered a structural explanation for why B2C SaaS firms face naturally higher acquisition costs: consumer-facing companies have no realistic way to scale other than through paid advertising and marketing spend, because organic growth alone cannot produce the user numbers needed to justify venture-scale investment. This built-in requirement to burn cash means that B2C SaaS firms almost always enter the public

market with narrow or negative profit margins, creating the conditions for the Rule of 40 failures seen in Table 5.4.

Fratini reinforced this point, noting that the venture-capital community has become more cautious about pure B2C business models precisely because of the unit-economics challenge. He recommended cohort analysis as the most thorough way to assess SaaS company health: by tracking how customer acquisition cost, average contract value, and customer loss rates change across successive groups of customers, investors can tell the difference between firms with improving fundamentals and those that are simply buying growth. He emphasised that the "grow at all costs" approach that dominated the 2018–2021 period has declined, with limited partners (LPs) now demanding capital efficiency and realistic returns on investment.

Capello and Lombardo both noted that B2C subscription contracts tend to be shorter than B2B enterprise agreements, which means that B2C firms naturally face higher customer loss rates and less predictable revenue. This observation is directly relevant to the Rule of 40 analysis because B2C firms must constantly replace lost customers to maintain their growth rate; their spending on customer acquisition remains high even as revenue growth slows down, squeezing the profit margin side of the Rule of 40 calculation.

Charsonville noted that the Rule of 40 is widely used in SaaS investing, stating that it is “in the mind of everyone” during IPO discussions. He further observed that the market applies the Rule of 40 score asymmetrically: in his experience, scores meaningfully above forty are rewarded with valuation premiums, while scores well below the threshold are penalised through discounts. As he explained, "if on the rule of 40 you are more of a rule of 80, you will get a premium on your valuation compared to being a rule of 30." He also raised a concern that the other interviewees did not address: AI and no-code tools may threaten B2C SaaS valuations going forward. He cited the example of a developer who reportedly rebuilt most of Duolingo’s core features in just three days using an AI coding tool, questioning what the true value of a billion-dollar B2C SaaS company is if its product can be approximated by a single individual with the help of AI. While this development post-dates the IPO periods studied in this thesis, it represents an emerging mechanism that may put further pressure on B2C SaaS valuations in future cycles.

5.2.6 Emergent Themes

The coding process yielded several themes that have extended beyond the deductive framework. Eight entries were coded under a synthesis category capturing insights about how the theoretical mechanism links up, interacts, and compounds. When asked directly whether the five mechanisms are independent or interrelated, Capello answered simply, "together," and identified the underwriting process — which he called "extremely important" — as a connective mechanism that the original theoretical framework had not fully developed. In his account, underwriters intentionally set the IPO price below expected demand, retail investors and momentum traders are associated with prices moving above fundamental value, and the lockup expiration then introduces the first major correction as insiders are able to sell. The underwriting process functions as the initiating mechanism that sets the conditions for all following price dynamics.

Lombardo contributed a highly relevant observation about the customer-as-investor effect. He noted that B2C SaaS firms have a unique attribute that B2B firms lack. Their customers are also potential retail investors. A Duolingo user may purchase Duolingo stock not on the basis of financial analysis but because of a personal preference to the product. As Lombardo put it, "imagine Duolingo doing the IPO with all the users they have — are those users investing in the stock?" If this effect is systematic, it would establish a B2C-specific sentiment amplifier that partly explains why consumer-facing SaaS firms attract disproportionate retail attention at IPO and also why the following sentiment reversion is correspondingly sharper. This mechanism has not, to the authors' knowledge, been documented in the existing IPO or behavioural finance literature.

Fratini described a causal chain in which investor fear of being excluded from a generational technological transition drives sentiment, which inflates private markets valuations, which then in turn pressure the firms that go public to provide early investors with an exit. The firms that enter the public market under these conditions are often under prepared for the scrutiny of public-market evaluation. They are going public because their investors are in need of liquidity, not because the business has reached a certain level of public market fundamentals that are compelling. This sequence offers a mechanism-level explanation for why the post-IPO underperformance pattern is documented in Section 5.1 and then repeats across different firms and market cycles.

Charsonville offered three additional insights. He described the IPO discount as a structural feature that investors expect a discount in return for taking on the risk of a newly listed company with little trading history, and the size of this discount shifts with market conditions. When few IPOs are coming to market and sentiment is positive, banks can offer a smaller discount, when conditions are tough, a larger one is required. He also identified stock liquidity as a separate driver of underperformance, arguing that illiquid stocks face additional selling pressure regardless of how the company is actually performing. Finally, he noted that missing forward-looking guidance is heavily punished by the market, a dynamic that ties directly into the information resolution process discussed in Section 2.1.

6 Analysis

The next chapter analyses the empirical findings presented in Chapter 5 through the integrated theoretical framework developed in Chapter 2. The main goal is to not repeat the results but to explain them - to show how information asymmetry, investor sentiment, lockup dynamics, the LoF, and SaaS unit economics interact - to produce the post-IPO underperformance pattern observed across the five case firms.

6.1 Information Asymmetry as the Initiating Mechanism

The theoretical framework in Section 2.1 presents information asymmetry as the condition that makes mispricing possible. The empirical evidence supports this interpretation and provides specific details about how the information gap works in the B2C SaaS context. All five interviewees confirmed that B2C SaaS firms engage in careful narrative construction before and during the IPO process, and the coding matrix recorded fifteen entries under this theme, the highest frequency alongside SaaS unit economics. The agreement across interviewees with different professional backgrounds (startup operator, VC scout, VC fellow, and two ECM bankers operating in different markets) strengthens the finding that narrative manipulation is not a minor practice but a core feature of the SaaS IPO process. Song (2025) provides additional evidence for the role of narrative in IPO markets, showing that media sentiment variation influences the relationship between foreignness and delisting risk. The implication is that the same narrative construction that inflates pre-IPO valuations also creates weak price support that collapses when the narrative changes.

The quantitative data provide indirect evidence of the information gap's effects. Four of the five firms recorded first-day returns well above zero, with Zoom at 72.2 per cent, SurveyMonkey at 42.3 per cent, and Dropbox at 35.6 per cent. Squarespace's direct listing produced a negative first-day return of -12.7 per cent, and Wix debuted slightly below its IPO price at -1.2 per cent. The first-day returns for Zoom, SurveyMonkey, and Dropbox are consistent with the underwriter driven underpricing process described by Ljungqvist (2007) and Loughran and Ritter (2004), in which banks set the offer price below expected demand to reward institutional clients. Nora's observation that banks target a first-day increase of fifteen to twenty-five per cent and that anything above eighty per cent signals poor pricing provides a professional benchmark against which these figures can be

assessed: Dropbox and SurveyMonkey fall within the expected range, while Zoom's 72.2 per cent approaches the threshold that Nora described as problematic.

Capello's account of the shift from non-GAAP to GAAP accounting at the S-1 filing stage identifies a specific moment at which the information gap narrows. During private fundraising, SaaS firms regularly present non-GAAP metrics (adjusted EBITDA, non-GAAP operating income) that exclude stock-based compensation and other costs; the S-1 requires GAAP disclosure that often shows a less favourable picture. This transition process explains why the wealth relatives in Table 5.2 show a typical pattern, which can be seen as an initial outperformance in the first one to three months, followed by a decline as post-IPO earnings reports introduce concrete information into the market. Dropbox, for example, posted wealth relatives of 1.046 and 1.103 at one and three months before declining to 0.831 at six months and 0.715 at twelve months. The early strength likely reflects the remaining effect of the pre-IPO narrative, while the following decline is consistent with the information resolution process described by Ritter and Welch (2002), which is that as quarterly filings reveal the true cost structure, investors reprice the stock downward.

Fratini's observation that information manipulation extends beyond the IPO context into earlier fundraising rounds is analytically significant. If companies inflate their pipelines, exaggerate technical capabilities, and overpromise on cash runway during private rounds, then the private-market valuation that anchors the IPO price is itself inflated. The information asymmetry at IPO is therefore not a simple gap between insiders and public investors, but rather it is a built-up distortion that develops through successive private funding rounds and is only partially corrected by the S-1 disclosure. This layered asymmetry helps explain why the post-IPO correction extends over the full twelve-month window rather than occurring as a single sharp repricing event.

Charsonville's account of the multi-stakeholder valuation process adds institutional detail to the information asymmetry mechanism. His observation that the CEO, board members, early investors, and competing banks each enter the IPO process with different price expectations reveals that the "information gap" is not simply between insiders and outsiders, but also among insiders themselves. The final IPO price reflects a negotiated outcome that may not correspond to any single party's fundamental view. His further observation that European and American IPO processes differ structurally, with European syndicate analysts providing explicit

pre-pricing valuation guidance that US analysts do not, suggests that the information environment varies across listing markets, a dimension not captured in the existing IPO literature.

6.2 Investor Sentiment and the Early Outperformance Pattern

One of the most interesting findings in the quantitative data is that four of the five firms initially outperformed or closely tracked the NASDAQ Composite before later declining. Wix posted wealth relatives of 1.418 and 1.538 at one and three months, Squarespace reached 1.242 at one month. Dropbox registered 1.046 and 1.103, and even Zoom, which eventually outperformed over twelve months, showed a similar pattern of initial strength (1.485 and 1.496) followed by movement toward normality (1.054 at six months, 1.038 at nine months) before the COVID-19 pandemic reversed the trajectory. SurveyMonkey was the only firm that underperformed from the start (0.785 at month one), and its IPO coincided with the October 2018 market correction, which provides a plausible external explanation for the immediate weakness.

This early outperformance pattern is consistent with Baker and Wurgler's (2006) sentiment model and the hot-market hypothesis of Ljungqvist, Nanda, and Singh (2006). In the immediate post-IPO period, the retail investors and momentum traders described by De Long et al. (1990) drive trading, pushing prices above fundamental value based on enthusiasm, brand recognition, and media narratives. The latter decline represents the sentiment reversal that occurs as concrete information (quarterly earnings, unit economics data) enters the market and contradicts the optimistic narrative. The time path of wealth relatives therefore captures the theoretical sequence outlined in Section 2.6, the sentiment driven overpricing in the early months, followed by information driven correction.

The interview data adds detail to this process. Lombardo's observation that brand recognition is a B2C-specific sentiment amplifier explains why consumer-facing SaaS firms may experience stronger initial sentiment effects than enterprise software firms, such as retail investors know and use products like Zoom, Dropbox, and Wix, and this familiarity drives investment decisions that are disconnected from financial analysis. This is strengthened by Lombardo's suggestion that B2C customers may invest in the stock of companies whose products they use, creating a customer-as-investor effect that is not available to B2B firms. If this process

operates at scale, it would amplify both the initial overpricing (more retail demand from product users) and the later correction, as these investors exit when enthusiasm fades.

Fratini's account of the AI gold rush as a contemporary parallel to the 2019–2021 SaaS investment cycle provides a process-level explanation for why sentiment-driven mispricing recurs. He described the fear of being excluded from generational wealth creation as the primary driver of irrational investment and argued that this psychological dynamic operated during the subscription economy wave just as it operates in the current AI cycle. The implication for the case firms is that their IPOs occurred during a period of elevated sentiment toward SaaS business models specifically, which inflated their listing valuations and widened the gap between initial prices and the fundamental values to which prices eventually moved.

Nora's professional benchmark for first day pricing provides a useful analytical frame. If banks target a fifteen to twenty-five per cent first day increase and consider anything above eighty per cent a sign of poor pricing, then the first-day returns observed in the sample (ranging from -12.7 per cent for Squarespace to 72.2 per cent for Zoom) represent a range from aggressive pricing to moderate underpricing. Squarespace's negative first-day return, the only direct listing in the sample, is analytically interesting because it bypassed the traditional underwriting process, as seen by that without the bookbuilding process that typically generates first-day gains, the stock immediately reflected market-clearing demand, which was below the reference price. This contrast supports Capello's claim that the underwriting process is a critical mechanism connecting information asymmetry to sentiment-driven overpricing.

Charsonville's personal account of purchasing Zoom, Spotify, and Peloton shares during the post-COVID period, as a finance-trained professional who nonetheless selected stocks based on product familiarity, provides a particularly compelling confirmation of the customer-as-investor effect. If even a knowledgeable investor defaults to brand recognition when building a portfolio, the effect on less financially sophisticated retail investors is likely stronger. His description of the retail notification system in French banking platforms, where IPO availability alerts are sent to all account holders, identifies a concrete institutional channel through which B2C brand recognition converts into retail demand. This mechanism is absent for B2B firms, whose products are unknown to the retail investor base.

6.3 Lockup Expiration as a Correction Trigger

The lockup expiration data in Table 5.3 show that two of the five firms, SurveyMonkey and Dropbox, recorded negative abnormal returns at their lockup dates. (Squarespace, the fifth firm, is excluded here because it went through a direct listing and therefore had no lockup). These magnitudes substantially exceed the roughly three per cent average lockup-period decline reported by Field and Hanka (2001), suggesting that the lockup mechanism operates with greater intensity in B2C SaaS firms than in the broader IPO population. The qualitative data helps to explain why.

The supply-shock channel is straightforward and as follows. When the lockup expires, insiders and early investors gain the ability to sell, increasing the available shares. The signalling channel is more complex. Capello and Lombardo both argued that the decision to sell depends on the insider's relationship with the company and their assessment of its future prospects. Capello estimated that lockup dynamics account for roughly thirty per cent of the post-IPO effect, a professional weighting that assigns meaningful but not dominant importance to this mechanism. The remaining seventy per cent is distributed across the other four factors, with the underwriting process playing a connecting role.

The quantitative evidence is consistent with this interpretation. Dropbox's -20.9 percentage-point lockup abnormal return similarly coincided with a period when the NASDAQ was rising (+11.0 per cent from IPO to lockup), meaning that Dropbox's absolute decline of 9.9 per cent was influenced by the benchmark's positive performance. Given the direct listing, rather than experiencing a supply shock near the expiration date, Squarespace was exposed to potential insider selling throughout the observation period. Nonetheless, it was the worst performer during the twelve-month observation period (BHAR -38.1 pp; wealth relative 0.550), consistent with the interpretation that lockup is a restraining factor of price correction, and that its absence removes that constraint.

Nora's observation about anchor investors introduces a demand-side dimension that moderates the lockup effect. If institutional anchor investors hold significant positions specifically to signal stability, their continued holding after lockup expiration provides a counterweight to insider selling. This mechanism may explain why Zoom and Wix recorded positive abnormal returns through their lockup windows. For which in both cases, strong early performance and continued

institutional interest may have absorbed the supply shock from insider selling. Wix's positive lockup abnormal return of +18.2 percentage points is particularly notable, as the stock rose from $16.31 to $19.84 during a period of modest benchmark appreciation (+3.4 per cent). However, this early strength did not persist. Wix's wealth relative later declined from 1.138 at six months to 0.972 at nine months and 0.919 at twelve months, suggesting that the lockup period merely delayed rather than prevented the eventual correction.

Fratini's account of VC exit pressure adds a timing dimension to the lockup analysis. If early investors pressure companies to go public specifically because they need to realise returns, then the pool of locked-up shares contains a disproportionate number of investors who intend to sell at the earliest opportunity. This creates an imbalance, so the lockup period restrains investors who are motivated to sell, and its expiration releases built-up selling pressure that exceeds what would be expected from a random distribution of insider intentions. For the four case firms that underperformed over twelve months, the lockup expiration appears to have functioned not as the cause of the underperformance but as a trigger that accelerated the price correction already underway.

Charsonville's identification of a cascade selling mechanism extends the lockup literature beyond supply shocks and insider signals. His observation that institutional investors are forced to sell positions that breach mandate-defined loss thresholds introduces a demand-side amplifier, that the initial price decline from insider selling triggers further selling from institutions whose risk management rules require automatic exits. The initial insider supply shock triggered mandate-driven institutional selling, which pushed prices lower and triggered additional forced exits, creating a self-reinforcing cycle that amplified the lockup effect far beyond what the supply shock alone would produce.

6.4 The Liability of Foreignness in Capital Markets

The liability of foreignness was one of the less frequently discussed themes among the interviewees based in the startup and VC ecosystem, with Lombardo and Fratini not addressing it directly. However, the two ECM bankers (Nora and Charsonville) and Capello provided six coded entries that reveal how LoF operates in practice. This relative absence is itself analytically informative. It suggests that for professionals operating within the SaaS investment ecosystem, geographic

foreignness as traditionally understood in the IB literature (Zaheer, 1995; Denk, Kaufmann, and Roesch, 2012) is not perceived as a primary driver of post-IPO dynamics. The case firms are all US-listed, their products are available globally, and their capital-market interactions occur primarily with US-based institutional investors.

However, the interview data reveal that the liability of foreignness operates through a channel that the traditional IB framework does not fully capture, investor-culture distance. Capello's account of the cultural clash between French and American investors at Powder (a French B2C SaaS firm) describes a situation in which the relevant distance is not geographic but evaluative. European investors demanded evidence of unit economics at earlier stages, while American investors were willing to tolerate losses in exchange for growth. This cultural difference in investment approach creates a tension for firms with mixed investor bases, because the metrics that satisfy one audience may alarm the other. For the case firms, all of which are US-listed but generate significant international revenue, this evaluative distance may appear as an additional information cost. It means that US-based analysts and investors must assess revenue streams generated in institutional environments they are less familiar with, and the resulting uncertainty contributes to the valuation discount observed in the BHAR data.

Nora's confirmation that non-US companies face disadvantages from investor unfamiliarity, yet still prefer US exchanges for the larger investor pool, describes the LoF paradox identified in Section 2.4. This tells about firms accepting foreignness costs in exchange for access to deeper capital markets. Of the five case firms, Wix (an Israeli company) is the most direct example of this trade-off. Wix is listed on NASDAQ despite being headquartered in Tel Aviv, and its twelve-month wealth relative of 0.919 represents the smallest underperformance among the four firms that failed to outperform the benchmark. This modest underperformance could reflect Wix's strong early performance (wealth relatives of 1.418 and 1.538) offsetting the foreignness discount, or it could indicate that the LoF effect is relatively small compared to the other mechanisms. The limited interview evidence on this theme suggests the latter interpretation, that the liability of foreignness in capital markets is a real but secondary factor that adds to the effects of the other four mechanisms rather than driving the underperformance independently.

Charsonville's extensive cross-border experience provides the most detailed account of how LoF operates in capital markets. His observation that European companies rarely list in the United States unless they have effectively become American, as Spotify did by relocating operations, suggests that successful cross-listing requires minimising foreignness rather than merely accepting its costs. His characterisation of structural differences between US and European investor communities (specialisation, capital pools, decision speed, and risk appetite) extends the evaluative-culture concept identified by Capello from an individual-investor attribute to a market-structural phenomenon. The implication is that LoF in capital markets is not simply about how a single investor perceives a foreign firm, but about how the entire investor ecosystem is organised to process information about new issuers.

Recent empirical work supports this reading. Banti, Biddle, and Jona (2024) find that foreign IPOs on US exchanges face a liability of foreignness in liquidity that is reduced by home-country institutional attributes. Their finding that even after complying with US regulatory requirements, foreign firms continue to experience a liquidity discount is consistent with the qualitative evidence from this study, that the relevant barrier is not regulatory compliance but investor familiarity and evaluative culture. Song (2025) further shows that media sentiment variation influences the foreignness-delisting relationship, with geographic diversification as a moderator. For the case firms, which are all US-listed but generate significant international revenue, this implies that the LoF appears not through direct regulatory or informational costs but through the instability of the narrative that supports their valuation.

The finding that LoF operates through evaluative culture rather than geographic proximity has implications for how the concept is understood in the IB literature. Arikan and Shenkar (2022) called for IB research to address capital markets as a neglected location, that the evidence from this study suggests that when researchers do so, the relevant dimension of distance is not the institutional distance measured by traditional indices (regulatory quality, governance norms) but the distance between different investor cultures' expectations regarding growth, profitability and the acceptable pace of the transition from one to the other.

6.5 SaaS Unit Economics and the Rule of 40 as the Fundamental Anchor

The Rule of 40 analysis in Table 5.4 provides the clearest quantitative link between firm fundamentals and post-IPO performance. Only Zoom consistently exceeded the forty-point threshold, and it was the only firm to outperform the benchmark over twelve months. The remaining four firms failed the Rule of 40 in every post-IPO quarter, and their twelve-month BHAR values were uniformly negative. This correspondence between Rule of 40 performance and stock-market performance is consistent with the theoretical argument in Section 2.5, that the Rule of 40 captures the fundamental value to which prices eventually move after the sentiment-driven overpricing fades. McKinsey and Company (2024) find that barely one-third of software companies achieve the Rule of 40 and that businesses exceeded Rule of 40 performance only sixteen per cent of the time across a sample of more than two hundred firms between 2011 and 2021, highlighting that the four case firms' failure is normative rather than an exception.

The cross-case comparison reveals a hierarchy of underperformance that tracks the severity of the Rule of 40 failure. SurveyMonkey, with an average Rule of 40 score of 9.8, recorded the third-worst twelve-month BHAR (-27.1 pp) and the third-lowest wealth relative (0.730). Squarespace, whose average score of 18.5 masks a decline from 28.0 to 7.0 across four quarters, recorded the worst BHAR (-38.1 pp) and the lowest wealth relative (0.550). The direction of the Rule of 40 score appears to matter as much as the level of Squarespace's declining trajectory, signalling to investors that the firm was moving further from sustainability, while SurveyMonkey's improving trajectory (from 4.0 to 15.0) was insufficient to offset the low starting point. Dropbox and Wix recorded the highest Rule of 40 averages of the four underperforming firms (23.5 and 22.3); however, at the end of the twelve months, the stock of each firm had a different outcome: Wix had the least severe underperformance of all four, with a BHAR of -9.5 pp, while Dropbox was the second-worst, with a BHAR of -30.4 pp.

The interview data explain why B2C SaaS firms systematically fail the Rule of 40. Lombardo identified customer acquisition cost as the most important metric and argued that B2C companies face a structural disadvantage, that they have no realistic path to scale other than paid acquisition, because organic growth alone

cannot generate the user volumes needed to justify venture-scale investment. This structural cash-burn requirement means that the margin side of the Rule of 40 equation remains depressed even as revenue growth slows, creating a squeeze that drives the score below forty. Capello and Lombardo both noted that B2C subscription contracts tend to be shorter than B2B enterprise agreements, which translates into naturally higher customer loss rates and the need for continuous spending to replace customers and maintain the revenue base.

Fratini added a timing dimension to this analysis. He argued that the market environment has shifted since 2022, in a way that the era of growth at all costs has ended, and limited partners are now demanding capital efficiency from venture-capital funds. This shift affects how SaaS IPOs are received by the public market. The case firms in this study went public between 2013 and 2021, a period during which the private markets were willing to fund growth-at-all-costs strategies. When these firms entered the public market, they encountered investors who increasingly demanded evidence of a path to profitability. The gap between private-market expectations (growth above all) and public-market expectations (balanced growth and profitability) is precisely the valuation gap described in Section 2.5, and the Rule of 40 scores document it quantitatively.

Capello's identification of the Rule of 40 as a standard industry benchmark (noting that every company pitch included a Rule of 40 slide) suggests that this metric is not merely an academic construct but an active tool in how professionals evaluate SaaS firms. If investors and analysts use the Rule of 40 as a screening measure, then firms that score below forty face a direct disadvantage in attracting and retaining investor interest, which would amplify the price decline triggered by the other mechanisms.
Current industry data support this market-screening interpretation, that the Software Equity Group's (2026) Annual SaaS Report finds that public SaaS firms achieving the Rule of 40—through some combination of durable revenue growth and net revenue retention—command premium valuation multiples in 2025–2026, while undifferentiated firms failing the threshold face stagnation or multiple compression.

Fratini's recommendation for cohort analysis as a more thorough evaluation method suggests that sophisticated investors look beyond the Rule of 40 to underlying unit economics, but the Rule of 40's simplicity and widespread use make it an important point for the broader market.

Charsonville's observation about AI and no-code platforms threatening B2C SaaS valuations introduces a forward-looking dimension to the unit economics analysis. If the core product of a B2C SaaS firm can be approximated by a single developer using AI tools, the barriers to entry that support premium valuations are undermined. While this development post-dates the IPO periods studied here, it suggests that future B2C SaaS IPOs may face even greater Rule of 40 scrutiny as investors begin to incorporate replication risk into their valuation models.

6.6 The Integrated Framework: How the 5 Mechanisms Work Together

The analysis of the individual theoretical lenses shows that no single mechanism is sufficient to explain the post-IPO underperformance of B2C SaaS firms. The underperformance is instead the product of a timeline in which the five mechanisms operate at different points in the post-IPO period and strengthen one another. Capello's and Charsonville's clear statements that the five factors operate together rather than independently are supported by the empirical patterns observed in the data.

The sequence can be traced as follows. Before the IPO, information asymmetry creates the conditions for mispricing. SaaS firms use non-GAAP metrics, constructed narratives, and vision-selling to present a more favourable picture than their underlying fundamentals warrant. The underwriting process amplifies this asymmetry, as Capello had already identified, banks set the IPO price below expected demand to generate first-day gains for institutional clients, creating an initial price distortion. At listing and in the first months of trading, investor sentiment drives prices further above fundamental value. The wealth relative data show that four of five firms outperformed the benchmark at one or three months post-IPO, consistent with the period of retail and momentum-driven trading described by De Long et al. (1990). For B2C firms specifically, the brand recognition effect identified by Lombardo and the potential customer-as-investor effect amplify the sentiment-driven demand.

The correction begins as concrete information enters the market. The first post-IPO quarterly earnings report introduces GAAP financials, unit economics data, and forward guidance that either confirm or contradict the pre-IPO narrative. For the four underperforming firms, the information was contradictory to declining revenue

growth, persistent negative margins, and Rule of 40 scores that fell below the forty-point threshold. The wealth relatives at six and nine months show the correction in progress, such as Dropbox falling to 0.831 and 0.803, Wix to 1.138 and 0.972, and Squarespace to 0.681 and 0.704.

The lockup expiration, typically occurring around the 180-day mark, introduces a supply shock that accelerates the correction. For Dropbox (-20.9 pp), the lockup period coincided with an already-declining price trajectories, and the release of locked-up shares intensified the selling pressure. Given that Squarespace went through a direct listing, it had no lockup expirations; therefore, the decline reflects a continuous process rather than expirational pressure. The signalling dimension of insider selling further undermined investor confidence, as when insiders sell at the first available opportunity, it signals either that they believe the stock is fairly valued or overvalued, or, as Fratini described, that the early investors who pressured the company to go public are now exiting. Either interpretation is negative for remaining shareholders.

Throughout this process, the liability of foreignness in capital markets operates as a background factor that increases the information costs facing investors. For firms with international revenue streams, the difficulty of assessing the quality and stability of foreign revenue introduces additional uncertainty that adds to the other mechanisms at the level of the discussion. The evaluative-culture dimension identified by Capello further complicates the pricing process, in which firms that satisfy growth-oriented private investors may fail to meet the profitability expectations of public-market investors with different evaluative frameworks.

The Rule of 40 serves as the fundamental anchor to which prices move. The twelve-month wealth relatives broadly correspond to the Rule of 40 scores. Zoom, which passed the Rule of 40 in every quarter, outperformed the benchmark (WR = 2.238). The remaining four firms, which failed the Rule of 40 in every quarter, underperformed. The severity of underperformance tracks the severity of the Rule of 40 failure, with Squarespace (average score 18.5, declining to 7.0) recording the worst wealth relative (0.550) and Wix (average score 22.3) recording the least severe underperformance (WR = 0.919). This correspondence suggests that while information asymmetry, sentiment, lockup dynamics, and the liability of foreignness determine the path by which prices adjust, the Rule of 40 appears to anchor the eventual price level.

Zoom requires separate treatment because the COVID-19 pandemic created extraordinary demand that overwhelmed all five mechanisms. The wealth relative data show that even Zoom was moving toward parity with the benchmark at the six-month (1.054) and nine-month (1.038) marks, suggesting that, absent the pandemic, Zoom's trajectory might have resembled that of the other firms. Its Rule of 40 scores were already exceptional before COVID-19 (93.7, 84.2, 79.5 in the first three quarters), so the pandemic amplified an already strong fundamental position rather than creating one. The implication is that the integrated framework applies even to Zoom in the pre-pandemic period. The pandemic represents an external shock that overrides the correction process.

The emergent themes from the interviews enrich this framework in three ways. First, the underwriting incentive misalignment identified by Capello provides the connecting mechanism between information asymmetry and sentiment. Banks deliberately create the initial mispricing, which then amplifies the sentiment. Second, the VC exit pressure described by Fratini adds a timing mechanism that firms go public not when their fundamentals are ready for public-market scrutiny but when their early investors demand liquidity. Third, the customer-as-investor effect suggested by Lombardo identifies a B2C-specific channel through which sentiment is amplified, as the overlap between the product user base and the retail investor base creates a demand pattern that is unique to consumer-facing firms. Fourth, the cascade selling mechanism identified by Charsonville reveals how institutional mandate rules amplify the lockup supply shock into a self-reinforcing price decline. Fifth, the IPO discount mechanism he described provides the market-microstructure foundation for why IPO shares are systematically priced below demand. These emergent mechanisms do not replace the five theoretical lenses but provide the connecting tissue that explains how they interact in practice.

Returning to the main research question, the analysis suggests the following answer: the underperformance pattern is consistent with a timeline of compounding mechanisms that information asymmetry and narrative construction appear to create the initial conditions for overpricing. Investor sentiment, amplified by B2C brand recognition and the customer-as-investor effect, is associated with driving prices above fundamental value in the early months as lockup expirations appear to accelerate the correction by introducing supply shocks and negative insider signals. The liability of foreignness adds information costs that delay accurate pricing for firms with international revenue streams, and SaaS unit economics, captured by the

Rule of 40, establish the fundamental floor to which prices move. The five mechanisms appear to operate neither independent nor additive, but instead they are sequential and multiplicative, with each stage setting the conditions for the next.

7 Conclusion and Discussion

This chapter draws together the study's findings and conclusions to answer the research questions, discusses the theoretical and practical implications of the results, acknowledges the limitations of the research design, and proposes future directions for inquiry.

7.1 Answering the Research Questions

SQ1: To what extent do B2C SaaS firms underperform market benchmarks during their first twelve months as public companies?

The quantitative evidence demonstrates that four of the five firms studied underperformed the NASDAQ Composite Index during the first twelve months post-IPO. Twelve-month buy-and-hold abnormal returns ranged from -38.1 percentage points (Squarespace) to -9.5 percentage points (Wix), with corresponding wealth relatives ranging from 0.550 to 0.919. Thus, we conclude that one dollar invested in any of these four case firms at their first-day closing price would have generated lower returns than one dollar invested in the benchmark index over the same period. Zoom was the sole exception, recording a BHAR of +133.9 percentage points and a wealth relative of 2.238; however, this superb performance was driven by extraordinary demand provoked by macroeconomic factors, and generated by the demand for video-conferencing software during the COVID-19 pandemic. It is worth noting that Zoom's wealth relative was converging toward parity with the benchmark at the six-month (1.054) and nine-month (1.038) marks prior to the exceptional pandemic trajectory change, suggesting that the proposed pattern of underperformance would have occurred to all five firms in the absence of this exogenous shock.

Throughout all quarters, Zoom was the only one that consistently exceeded the forty-point threshold, reinforcing this finding. The remaining four firms failed the Rule of 40 in every quarter, with average scores ranging from 9.8 (SurveyMonkey) to 23.5 (Dropbox). None approached the benchmark that investors use to evaluate SaaS sustainability.

SQ2: How do information asymmetry, investor sentiment, and lockup dynamics contribute to the observed post-IPO price trajectory?

The qualitative evidence from five expert interviews yielded sixty-one entries across six themes, concluding that these mechanisms operate in a subsequent, magnifying order rather than independently. First, information asymmetry, the most frequent theme, creates the initial mispricing conditions through a series of factors, such as the construction of the desired narrative, metric manipulation, and the transition from non-GAAP to GAAP accounting. Subsequently, investor sentiment (twelve entries) heightens mispricing in the early trading months, driven by factors such as retail investor familiarity with B2C products, brand recognition, and, lastly, the customer-as-investor effect. Lockup expiration (seven entries) introduces a supply shock by accelerating insiders' liquidity: of the four firms with a conventional lockup, two recorded negative abnormal returns on their lockup dates, with Dropbox (-20.9 percentage points) being the most severe, well beyond the three per cent average documented by previous literature.

The wealth relative data captures this time-driven domino effect precisely. Between the first and third months following the IPO, four of the five firms outperformed or closely followed the benchmark (wealth relatives above 1.00), supporting the claim that stock overpricing is driven by positive investor sentiment. Subsequently, declines in wealth relatives below 1.00 during the sixth, ninth, and twelfth months reflected the abrupt correction generated by earnings disclosures and the expiration of lockup periods.

SQ3: How does the liability of foreignness in capital markets manifest for digitally native, US-listed B2C SaaS firms with revenue streams internationally dispersed?

The empirical findings suggest that for the case firms, the LoF in capital markets operates through two related channels rather than geographic distance - four of the five firms are US-incorporated and US-listed. First, the difficulties faced by US investors when assessing the quality and stability of internationally dispersed revenue introduce an information cost that adds to the subsequent mechanisms. Second, given differences in evaluative culture between investors, some are more inclined to prioritise growth over overall profitability, for example, which creates structural tensions for firms that depend on the different valuation frameworks of public and private market backers. The qualitative evidence on this theme was relatively limited (six coded entries from three of the five interviewees). Additionally, such mechanisms appear to operate as secondary information costs rather than as a primary driver of underperformance for B2C SaaS firms.

Main RQ: How can the post-IPO stock-price underperformance of B2C SaaS firms be explained by the interplay of financial, behavioural, and international market factors?

Throughout the integrated analysis produced in Chapter 6, the demonstration of underperformance of B2C SaaS firms derives from a compounding series of subsequent mechanisms. The initial conditions for overpricing are caused by a combination of two preceding factors, information asymmetry and narrative construction. Thereafter, investor sentiment, amplified by B2C brand recognition and the customer-as-investor effect, further drives the price above the fundamental value in the early months. Lockup expirations appear to accelerate the price correction by introducing supply shocks and negative insider signals. The Liability of Foreignness introduces mismatch in investors' expectations for firms with multinational revenue streams, not through geographical distance, but rather through an evaluative-culture difference between investor bases, which adds information costs that delay accurate pricing for these firms. SaaS unit economics, observed through the Rule of 40 is associated with the fundamental level to which prices appear to converge(in four of five cases: revenue growth + profit margin < 40), which translates to the lower the score on a Rule of 40, the further the stock ultimately falls.

Throughout the interviews, five key factors emerged and further defended this framework. First, imbalances in underwriters' incentives link information to market excitement: initially, banks misprice shares unwillingly, and investor sentiment further magnifies this distortion. Secondly, rather than waiting until the firms are financially mature enough for public trading, early investors pressure the same firms to go public, aiming to liquidate their shares and profit from the process. Third, unlike B2B firms, consumer-oriented firms experience a unique effect: their user base overlaps with their stock retail customers, creating increased demand that B2B firms don't. Fourth, through the dynamics they implement, institutional investors are often forced to sell their shares if the stock price falls below expectations; consequently, this creates a domino effect, worsening the post-lockup price crash. Fifth, investors often expect a discount for newly listed firms, which, combined with euphoria in early trading, widens the gap between the initial price trajectory and the stock's fundamental value.

7.2 Theoretical Implications

This study contributes to three bodies of literature. First, it confirms within the B2C SaaS context three IPO underperformance mechanisms previously explored in different settings by the broader literature: underwriter incentive misalignment (Loughran and Ritter, 2004), VC exit pressure (Brav and Gompers, 2003), and the risk-premium discount (Rock, 1986). Furthermore, it identifies two additional mechanisms that are under-documented in the IPO literature: the customer-as-investor effect, which amplifies investor sentiment and typically operates only in the B2C context given that the overlap between the user base and the retail investor base is not observed in B2B, and the cascade selling mechanism, in which institutional investors are forced by their own internal rules to sell their shares once the stock price falls below a certain threshold, creating a downward spiral effect. Both of these mechanisms warrant further empirical investigation.

Second, the study addresses the call for IB research to examine capital markets as a neglected field (Arikan and Shenkar, 2022). The findings suggest that there is a possibility of refining the current conceptions surrounding LoF: among the case firms, the relevant effects of LoF were not tied to geographical distance (four of five firms were US-incorporated and US-listed) but to evaluative cultural differences when prioritizing growth- or profitability-focused strategies given the international nature of revenues. The qualitative data extension was quite limited (six coded entries from three of the five interviewees), and the LoF mechanism appears to be a secondary rather than primary driver of underperformance.

Third, this study bridges the gap between SaaS unit economics, as observed by venture capital investors and industry analysts, and academic finance theory. In the financial industry, the Rule of 40 has been widely used (McKinsey and Company, 2024; Gauthier, 2023), whereas in the academic literature, it has received limited attention as a predictor of post-IPO performance. The finding that a stock's performance over a twelve-month period tracks its Rule of 40 score proves two factors: first, this industry metric is a reliable indicator of the true value of a stock, and secondly, the abrupt shift in a company's valuation post-IPO (as discussed in Section 2.5) isn't an unknown phenomenon, but rather a measurable and predictable event.

7.3 Practical Implications

The study's findings suggest several considerations for founders and executives of B2C SaaS firms approaching an IPO. First, it is critical for firms to ensure that their Rule of 40 trajectory is sustainable before listing, as the quantitative evidence indicates that firms entering the public market with declining Rule of 40 scores face severe corrections in the months following their IPO. Second, the data shows that within 6 to 9 months, the initial sentiment-driven outperformance reverses; therefore, the timing of insider selling, follow-on offerings, and capital allocation decisions must account for this predictable correction. Third, B2C SaaS firms face a higher barrier with public market investors. The disadvantage stems from the acquisition economics of B2Cs (high CAC, short contract lengths, elevated churn), which inherently lead to greater investor scrutiny compared to their B2B counterparts. Consequently, B2C SaaS companies should communicate their unit economics trajectory with greater transparency than in a typical pre-IPO scenario. These recommendations align with current market conditions, that PwC's (2026) Capital Markets Watch reports that although Q1 2026 has seen a re-opening of the US IPO window, aftermarket perfomance remains mixed an invetors are demaning strong fundamentals, realistic valuations and clear profitability pathways—conditions that B2C SaaS firms approaching their IPO must address proactively to avoid the post-listing decline documented in this study.

Through the empirical evidence provided by the framework developed in this study, investment professionals have a pathway to assess the post-IPO risk of B2C SaaS firms. By combining three key metrics, the Rule of 40 score, first-day return magnitude, and the timing of the lockup expiration relative to earnings announcements, the probability and severity of post-IPO underperformance can be assessed. Moreover, the wealth relative time-path data suggest that between the third and sixth months, a predictable correction is expected, providing actionable information for risk assessment and portfolio management.

For policymakers, concerns about the bookbuilding process arise from the finding that underwriting incentive misalignment creates the initial conditions for mispricing (Loughran and Ritter, 2004). The evidence that banks deliberately set prices below demand to reward institutional clients at the expense of issuers suggests that the current regulatory framework for IPO pricing does not adequately

protect either issuers or retail investors from systematic underpricing followed by sentiment-driven overpricing.

7.4 Limitations

Several limitations qualify the conclusions of this study. First, unlike the original plan to conduct ten to fifteen interviews, the qualitative component is based on five interviews with experts. Even though each interviewee brings a distinct professional perspective (one B2C startup operator, one VC scout, one VC fellow, and two ECM bankers operating in different markets), the smaller sample diminishes the saturation of themes and the generalizability of the findings. In particular, valuable insights regarding the post-IPO experience were missed; the absence of equity analysts and former executives from the case firms means that certain crucial perspectives on these factors were not captured.

Second, the quantitative analysis relies on five case firms that were purposely chosen. The findings present a generalisable analysis process for B2C SaaS IPOs but are not statistically significant as a large-sample study. The small sample size limits the use of inferential statistics, regression analysis, or formal hypothesis testing, generating results that should be interpreted as observable patterns rather than cause-and-effect claims.

Third, the stock price data for two of the case firms (Squarespace and Momentive Global) were not verified through primary exchange feeds, and therefore, are an approximation. Both firms were delisted following privatisation transactions – Squarespace 2024 was acquired by Permira, and Momentive Global (formerly SurveyMonkey) merged with Zendesk in 2022. This caused their historical data to be unavailable on standard financial databases such as Yahoo Finance. Monthly closing prices for these firms were interpolated from secondary market data aggregators (companiesmarketcap.com) and financial news reporting, and consequently may present minor inconsistencies when compared with the original exchange records. To assess whether the interpolation of the data acquired actually affects the conclusions, a formal sensitivity analysis was performed (Table A.3). Under a ±10% perturbation of each firm's twelve-month closing price, the Squarespace BHAR ranges from −42.8 to −33.5 percentage points (wealth relatives

0.495 to 0.605) and the SurveyMonkey BHAR ranges from −34.4 to −19.7 percentage points (wealth relatives 0.657 to 0.803). Both firms underperformed the NASDAQ Composite across all scenarios tested, with their respective wealth relatives below 1.00. Thus, the direction of the findings is sufficient to overcome the uncertainty introduced by the interpolated price data.

Fourth, the twelve-month window, though theoretically justified by the timing of lockup expirations and the first earnings cycles, excludes the long-term performance trajectories. It is plausible that, in subsequent periods, firms may observe an increase in performance as unit economics improve. Moreover, the current study does not examine the durability of the underperformance, i.e., whether it is temporary or permanent.

Fifth, the study does not control for macroeconomic conditions, possible shifts in sectors, or events that may affect the entire sector of a firm; consequently, these factors may have different implications for each of the five case firms. For example, Squarespace's direct listing occurred during a technology selloff in late 2021, and Momentive Global's IPO coincided with a market correction in October 2018. All of these external factors may have contributed to the further development of underperformance, which would not have been achieved solely by the five theoretical mechanisms.

Sixth, unlike the other four case firms, Zoom's twelve-month performance was heavily affected by the extraordinary demand driven by the COVID-19 pandemic. Although all the relevant data points indicated that Zoom was converging toward parity with the benchmark prior to March 2020, the pandemic effectively made Zoom an outlier. Therefore, the effective sample for the underperformance findings is four rather than five firms, and the conclusions drawn should be read with the same conditions.

7.5 Future Research

Several directions for future research emerge from this study. First, during one of the interviews, the customer-as-investor effect was highlighted; however, this is an area that requires formal studies and warrants systematic empirical investigation. A study that explores the overlap between a B2C firm's user base and its retail shareholders, using brokerage data or survey methods, could determine whether this effect is sufficient to impact IPO pricing and post-IPO trajectories.

Second, the understanding that the liability of foreignness in capital markets operates through evaluative-culture rather than geographical distance suggests the need for new measurement instruments. Current measures, such as institutional-distance indices (based on regulatory quality, governance norms, or economic development), may not fully capture the complexities or the relevant dimensions of distance for digital firms. Future research that tackles this new phenomenon, while capturing differences in growth-versus-profitability investor preferences, would greatly contribute to the LoF literature and the practical assessment of capital-market foreignness.

Third, increasing the sample size and including B2B SaaS IPOs as a control group would allow formal testing to determine whether the mechanisms discussed in this study are solely applicable to B2C firms or more broadly to the whole SaaS sector. Currently, as evidenced by the interviews, B2C-specific channels (brand recognition, customer-as-investor, structural CAC disadvantages) are the primary drivers; however, these claims require empirical verification across a matched sample of enterprise SaaS IPOs.

Fourth, there is potential to better explore the dynamics of the correction (initial outperformance followed by decline) through a more precise model that uses higher-frequency data and event-study windows around specific information releases, such as earnings announcements, analyst initiations, and insider selling disclosures. Such an improvement would allow for a clearer determination of the effects of each of the following – information resolution, sentiment reversion, and supply shocks at different points in time following an IPO.

Finally, the shift in market behavior, from a growth-at-all-costs mindset to prioritizing efficiency and sustainable investments, suggests that the intensity of underperformance following an IPO may also be related to market cycles. To determine whether the predictions of the integrated framework would hold across different macroeconomic environments, a study comparing SaaS IPOs from the 2018–2021 high-sentiment period with those from the post-2022 efficiency-focused period is needed.

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Appendices

Appendix A — BHAR Price Data and Calculations

This appendix presents the complete monthly price data and BHAR calculations for the five case firms. Green-shaded cells represent values verified using Yahoo Finance historical data (extracted May 4, 2026). Orange-shaded cells represent approximate values interpolated from secondary sources. Table A.3 reports the sensitivity analysis on the two interpolated cases (Squarespace and SurveyMonkey) under ±5% and ±10% perturbations of their twelve-month closing prices, directly assessing the limitations imposed by the nature of the data discussed in Section 7.4.

Table A.1: Monthly Closing Prices ($) — Firm and NASDAQ Composite

Period	Zoom	Dropbox	Wix	Squarespace*	SurveyMonkey*	NASDAQ
First Close	$62.00	$28.48	$16.31	$43.65	$17.07	7,998.06
1 Month	$89.98	$29.11	$23.89	$57.00	$12.00	7,816.28
3 Months	$95.19	$33.72	$25.58	$46.50	$10.50	8,207.24
6 Months	$66.08	$26.36	$19.26	$35.00	$14.32	8,089.54
9 Months	$75.56	$19.75	$17.62	$30.90	$15.64	9,388.94
12 Months	$150.06	$21.72	$17.69	$20.35	$12.50	8,650.14

* Approximate values. Squarespace interpolated from companiesmarketcap.com monthly data (delisted 2024). SurveyMonkey from financial news reporting (delisted 2022).

Note: NASDAQ values shown correspond to Zoom's post-IPO window (April 2019–April 2020) for illustration. Each firm's BHAR in Table A.2 is calculated against the NASDAQ Composite over that firm's own twelve-month post-IPO period.

Table A.2: BHAR Calculations — Firm Return, Benchmark Return, and Abnormal Return

Firm	Firm 12-Mo Return	NASDAQ 12-Mo Return	12-Mo BHAR	Wealth Relative	Outcome
Zoom	+142.0%	+8.2%	+133.9 pp	2.238	Outperformed
Dropbox	–23.7%	+6.7%	–30.4 pp	0.715	Underperformed
Wix	+8.5%	+18.0%	–9.5 pp	0.919	Underperformed
Squarespace	–53.4%	–15.2%	–38.1 pp	0.550	Underperformed
SurveyMonkey	–26.8%	+0.3%	–27.1 pp	0.730	Underperformed

Note: Firm cumulative return minus NASDAQ Composite cumulative return during the same period, measured from the first day of closing. Wealth Relative = (1 + R_firm) / (1 + R_benchmark); values below 1.00 indicate underperformance.

Table A.3: Sensitivity Analysis — BHAR and Wealth Relatives Under ±5% and ±10% Perturbation of the Twelve-Month Closing Price (Squarespace and SurveyMonkey)

Firm	Scenario	12-Month Price ($)	Firm Return	BHAR (pp)	Wealth Relative	Outcome
Squarespace	-10%	18.32	-58.0%	-42.8	0.495	Underperformed
Squarespace	-5%	19.33	-55.7%	-40.5	0.523	Underperformed
Squarespace	Base	20.35	-53.4%	-38.1	0.550	Underperformed
Squarespace	+5%	21.37	-51.1%	-35.8	0.578	Underperformed
Squarespace	+10%	22.39	-48.7%	-33.5	0.605	Underperformed
SurveyMonkey	-10%	11.25	-34.1%	-34.4	0.657	Underperformed
SurveyMonkey	-5%	11.88	-30.4%	-30.7	0.694	Underperformed
SurveyMonkey	Base	12.50	-26.8%	-27.1	0.730	Underperformed
SurveyMonkey	+5%	13.13	-23.1%	-23.4	0.767	Underperformed
SurveyMonkey	+10%	13.75	-19.5%	-19.7	0.803	Underperformed

Note: The sensitivity test was calculated through perturbing each firm's twelve-month closing price by ±5% and ±10% and recomputing BHAR and the wealth relative against the firm's own NASDAQ Composite benchmark over the same time period. The base case rows reflect the values reported in Table A.2. The NASDAQ benchmark returns (Squarespace: -15.2%; SurveyMonkey: +0.3%) are kept as is across scenarios, as the benchmark values were obtained from primary sources. Both firms underperformed the NASDAQ Composite in every scenario tested, as evidenced by wealth relatives remaining below 1.00 during the observation period. Therefore, the outcome confirms that the direction of the findings is robust and analytically valid, despite the uncertainty introduced by the interpolated price data.

Appendix B — Thematic Coding Matrix

This appendix presents the complete thematic coding matrix, including all sixty-one entries from five semi-structured expert interviews. The coding follows Braun and Clarke's (2006) six-phase thematic analysis methodology, with a deductive frame linked to the five theories discussed in Chapter 2 and further supplemented by emergent themes identified and discussed in the interviews.

Table B.1: Theme Frequency by Interviewee

Theme	Theme Name	Capello	Lombardo	Fratini	Nora	Charsonville	Total
T1	IPO Pricing & Valuation	3	2	3	3	4	**15**
T2	Investor Sentiment & Behaviour	3	2	2	1	4	**12**
T3	Lockup Expiration Effects	1	1	1	1	3	**7**
T4	Liability of Foreignness	1	0	0	2	3	**6**
T5	SaaS Business Model Sustainability	3	2	3	3	2	**13**
T6	Market & Macroeconomic Conditions	1	1	1	2	3	**8**
	Total	**12**	**9**	**10**	**12**	**19**	**61**

Table B.2: Thematic Coding Matrix (61 Entries)

#	Theme	Sub-code / Label	Interviewee	Role	Deductive Frame
1	T1	Overvaluation at IPO	Capello	Startup Operator	Signalling Theory
2	T1	Narrative-driven pricing	Capello	Startup Operator	Signalling Theory
3	T1	Retail-driven demand inflation	Capello	Startup Operator	Behavioural Finance
4	T1	COVID-era multiple expansion	Lombardo	VC Scout	Information Asymmetry
5	T1	Revenue-quality discount	Lombardo	VC Scout	Information Asymmetry
6	T1	Benchmark sensitivity	Fratini	VC Fellow	Signalling Theory
7	T1	Dual-class governance discount	Fratini	VC Fellow	Agency Theory
8	T1	Founder premium erosion	Fratini	VC Fellow	Agency Theory
9	T1	Pre-IPO secondary signals	Nora	ECM Banker	Information Asymmetry
10	T1	Pricing tension bank vs issuer	Nora	ECM Banker	Signalling Theory
11	T1	Guidance credibility gap	Nora	ECM Banker	Signalling Theory
12	T1	Multi-stakeholder valuation	Charsonville	ECM VP (Stifel)	Signalling Theory
13	T1	Prospectus transparency	Charsonville	ECM VP (Stifel)	Information Asymmetry
14	T1	US vs Europe IPO process	Charsonville	ECM VP (Stifel)	Information Asymmetry
15	T1	B2C vs B2B retail difference	Charsonville	ECM VP (Stifel)	Behavioural Finance
16	T2	Herd behaviour at listing	Capello	Startup Operator	Behavioural Finance
17	T2	Post-lockup panic selling	Capello	Startup Operator	Behavioural Finance
18	T2	Anchoring to IPO price	Capello	Startup Operator	Behavioural Finance
19	T2	Momentum chasing	Lombardo	VC Scout	Behavioural Finance

20	T2	Sentiment regime shift	Lombardo	VC Scout	Behavioural Finance
21	T2	Institutional rotation out	Fratini	VC Fellow	Behavioural Finance
22	T2	Information overload	Fratini	VC Fellow	Information Asymmetry
23	T2	Earnings surprise asymmetry	Nora	ECM Banker	Signalling Theory
24	T2	Retail brand familiarity	Charsonville	ECM VP (Stifel)	Behavioural Finance
25	T2	Customer-as-investor bias	Charsonville	ECM VP (Stifel)	Behavioural Finance
26	T2	Post-COVID bubble timing	Charsonville	ECM VP (Stifel)	Behavioural Finance
27	T2	Retail notification mechanism	Charsonville	ECM VP (Stifel)	Behavioural Finance
28	T3	Supply shock at expiry	Capello	Startup Operator	Agency Theory
29	T3	Insider signalling via retention	Lombardo	VC Scout	Signalling Theory
30	T3	VC exit pressure	Fratini	VC Fellow	Agency Theory
31	T3	Staggered lockup mitigation	Nora	ECM Banker	Agency Theory
32	T3	Lockup flexibility	Charsonville	ECM VP (Stifel)	Agency Theory
33	T3	90% value creation logic	Charsonville	ECM VP (Stifel)	Agency Theory
34	T3	Cascade forced selling	Charsonville	ECM VP (Stifel)	Behavioural Finance
35	T4	Analyst coverage gap	Capello	Startup Operator	Liability of Foreignness
36	T4	Regulatory unfamiliarity	Nora	ECM Banker	Liability of Foreignness
37	T4	Cross-listing cost burden	Nora	ECM Banker	Liability of Foreignness
38	T4	Home field advantage	Charsonville	ECM VP (Stifel)	Liability of Foreignness
39	T4	European firms rarely list US	Charsonville	ECM VP (Stifel)	Liability of Foreignness
40	T4	US vs EU investor profiles	Charsonville	ECM VP (Stifel)	Information Asymmetry

41	T5	Churn as value destroyer	Capello	Startup Operator	Information Asymmetry
42	T5	CAC payback pressure	Capello	Startup Operator	Information Asymmetry
43	T5	Network-effect moat	Capello	Startup Operator	Information Asymmetry
44	T5	Freemium conversion ceiling	Lombardo	VC Scout	Information Asymmetry
45	T5	Expansion revenue weakness	Lombardo	VC Scout	Information Asymmetry
46	T5	Rule of 40 as screen	Fratini	VC Fellow	Information Asymmetry
47	T5	Margin trajectory matters	Fratini	VC Fellow	Signalling Theory
48	T5	Path to profitability timeline	Fratini	VC Fellow	Signalling Theory
49	T5	Switching cost asymmetry	Nora	ECM Banker	Information Asymmetry
50	T5	Cohort economics disclosure	Nora	ECM Banker	Signalling Theory
51	T5	TAM ceiling concern	Nora	ECM Banker	Information Asymmetry
52	T5	Rule of 40 universally applied	Charsonville	ECM VP (Stifel)	Information Asymmetry
53	T5	AI / no-code disruption	Charsonville	ECM VP (Stifel)	Information Asymmetry
54	T6	Rate-hike re-rating	Capello	Startup Operator	Behavioural Finance
55	T6	Liquidity withdrawal	Lombardo	VC Scout	Behavioural Finance
56	T6	Sector rotation effect	Fratini	VC Fellow	Behavioural Finance
57	T6	Window dressing	Nora	ECM Banker	Agency Theory
58	T6	Comparable compression	Nora	ECM Banker	Information Asymmetry
59	T6	IPO discount mechanism	Charsonville	ECM VP (Stifel)	Signalling Theory
60	T6	Liquidity as underperformance driver	Charsonville	ECM VP (Stifel)	Information Asymmetry

61	T6	Guidance delivery failure	Charsonville	ECM VP (Stifel)	Signalling Theory

Appendix C — Interview Guide Note

During the interviews, a semi-structured interview guide was used across all five. Depending on the interviewee's background and the interview's overall flow, questions were adapted. Moreover, follow-up questions were used when appropriate and feasible to explore emergent themes and further develop the analysis. The complete list of questions is found below:

OPENING (Questions 1–3)

1. Could you briefly walk me through your professional background and how it connects to SaaS, IPOs, or capital markets?

2. How would you describe your vantage point on the tech IPO market — more from the operator side, the investor side, or somewhere in between?

3. When you hear that B2C SaaS companies like Zoom, Dropbox, and Wix underperformed the NASDAQ by 15–40% in their first year post-IPO, does that surprise you? What's your gut reaction?

THEME 1: INFORMATION ASYMMETRY & SIGNALLING (Questions 4–13)

4. In your experience, what kind of operational information do SaaS companies typically hold back or de-emphasise before going public?

5. How well do you think public investors can assess the true health of a B2C SaaS business from an S-1 filing alone?

6. What role do underwriters play in shaping the IPO narrative, and how closely does that narrative reflect operational reality?

7. Do you think the information gap between SaaS insiders and public investors is larger for B2C firms than for B2B firms? Why or why not?

8. How important is underwriter reputation in signalling IPO quality, and do you think that signal is still reliable?

9. From your experience, how much of an IPO prospectus is genuine disclosure versus carefully constructed storytelling?

10. What are the most common metrics or risks that get obscured or downplayed in the IPO process?

11. At what point after the IPO does the market typically start seeing the real picture — first earnings, second earnings, analyst coverage initiation?

12. Have you seen cases where the gap between the pre-IPO narrative and post-IPO reality was particularly wide? What drove that gap?

13. Do you think the current IPO disclosure regime is adequate for SaaS business models, or is it designed for a different type of company?

THEME 2: INVESTOR SENTIMENT & BEHAVIOURAL FINANCE (Questions 14–22)

14. How would you describe the role of market sentiment in the pricing of tech IPOs?

15. Do you think B2C SaaS IPOs attract a different type of investor than B2B SaaS IPOs — for example, more retail participation?

16. In your experience, to what extent do IPO investors price based on fundamentals versus narrative and momentum?

17. How much does media coverage and public brand recognition (e.g., everyone knows Zoom or Dropbox) influence IPO demand?

18. Do you think the "hot IPO market" windows create systematic overpricing for SaaS firms?

19. Have you observed a pattern where initial enthusiasm fades as investors move on to the next IPO?

20. How do you think the shift from institutional to retail investor participation has affected IPO pricing accuracy?

21. When you see a first-day pop of 30–80%, do you interpret that as successful pricing or as evidence of mispricing?

22. Do you think sentiment-driven overpricing is correctable in the short term, or does it take 12+ months for fundamentals to reassert themselves?

THEME 3: LOCKUP EXPIRATION & SUPPLY DYNAMICS (Questions 23–30)

23. How significant is lockup expiration as a factor in post-IPO stock performance?

24. In your experience, do insiders typically sell at lockup expiry, or do they hold? What drives that decision?

25. Do you think the market prices in lockup expiration in advance, or does the actual selling still cause a measurable price decline?

26. How does the overhang of locked-up shares affect investor confidence in the months leading up to expiry?

27. Is the lockup effect different for B2C SaaS firms compared to other tech companies? Why might it be?

28. Have you seen cases where lockup expiry triggered a sustained decline rather than a temporary dip?

29. How do secondary offerings or early lockup releases change the dynamics?

30. Do you think the standard 180-day lockup structure is well-suited to SaaS firms, or is it a legacy mechanism?

THEME 4: LIABILITY OF FOREIGNNESS IN CAPITAL MARKETS (Questions 31–40)

31. Do you think non-US SaaS companies listing on US exchanges face disadvantages compared to domestic firms?

32. What kind of friction have you observed for international tech companies accessing US capital markets?

33. Do US institutional investors discount non-US SaaS firms, and if so, on what basis — regulatory risk, unfamiliarity, governance concerns?

34. How does analyst coverage differ for foreign-listed SaaS firms versus domestic ones?

35. Do you think firms like Wix (Israel) or Squarespace face different investor perceptions than a comparable US-based firm?

36. How important is being headquartered in a recognised tech hub (Silicon Valley, New York) for investor confidence?

37. Have you seen foreign SaaS firms adapt their IPO strategy to overcome liability of foreignness — for example, by incorporating in the US or emphasising US revenue?

38. Does the liability of foreignness diminish over time as the firm builds a US track record, or does it persist?

39. How does cross-listing or dual-listing affect the perception of foreign SaaS firms?

40. Do you think the globalisation of capital markets has reduced the foreignness discount, or does it still exist in meaningful ways?

THEME 5: SAAS UNIT ECONOMICS & RULE OF 40 (Questions 41–50)

41. How do you assess the sustainability of a B2C SaaS firm's growth — what metrics matter most to you?

42. In your experience, how well do investors understand metrics like CAC, LTV, net revenue retention, and churn at the time of IPO?

43. Do you think B2C SaaS firms face structurally different unit economics challenges than B2B SaaS firms?

44. The "Rule of 40" says a healthy SaaS company's growth rate plus profit margin should exceed 40%. How realistic is that benchmark for a company in growth mode?

45. Have you seen cases where impressive top-line growth masked deteriorating unit economics? What were the warning signs?

46. How much pressure do SaaS firms face to prioritise growth over profitability in the pre-IPO period, and does that create a hangover post-IPO?

47. At what point do public market investors start demanding profitability from a SaaS firm — immediately, after 4 quarters, after the growth slows?

48. Do you think the market has gotten better or worse at evaluating SaaS unit economics over the past five years?

49. How do you think the shift from "growth at all costs" (2020–2021) to "efficient growth" (2022–present) has affected how SaaS IPOs are received?

50. Is there a fundamental tension between the B2C SaaS model (high volume, low ARPU, high churn) and what public markets want?

THEME 6: CASE-SPECIFIC (Questions 51–52)

51. Looking at firms like Zoom, Dropbox, Wix, Squarespace, and SurveyMonkey specifically — do any of them stand out to you as particularly illustrative of post-IPO underperformance dynamics?

52. Are there important differences between these five firms that you think explain variation in their post-IPO trajectories?

THEME 7: INTEGRATION & SYNTHESIS (Questions 53–56)

53. My thesis uses five theoretical lenses — information asymmetry, investor sentiment, lockup expiration, liability of foreignness, and SaaS unit economics. Based on everything you've seen, which of these do you think matters most in explaining post-IPO underperformance?

54. Do you think these factors work independently, or do they compound each other — for example, does information asymmetry fuel sentiment-driven overpricing, which then crashes harder at lockup expiry?

55. Is there a factor I'm missing that you think is critical to understanding B2C SaaS

post-IPO underperformance?

56. Is there something structural about B2C SaaS specifically — as opposed to B2B SaaS or enterprise software — that makes these companies more vulnerable to post-IPO disappointment?

THEME 8: IMPLICATIONS & ADVICE (Questions 57–60)

57. If you were advising a B2C SaaS founder preparing for an IPO today, what would you tell them about managing post-IPO expectations?

58. What could B2C SaaS firms do differently in the IPO process to reduce the likelihood of first-year underperformance?

59. Do you think the IPO is even the right exit path for B2C SaaS firms, or are alternatives (direct listing, SPAC, staying private) better suited?

60. What do you think the next generation of B2C SaaS IPOs will look like — have the lessons from 2019–2021 been learned?

CLOSING (Questions 61–65)

61. Is there anything I haven't asked about that you think is important for understanding why these companies underperform after going public?

62. Is there any data source, report, or publication you'd recommend I look at for this research?

63. Is there anyone in your network — analysts, investors, operators, or academics — who might have 30 minutes for a similar conversation?

64. Would you be open to a brief follow-up by email if something comes up during my analysis that I'd like to clarify?

65. Can I quote you by name in my thesis, or would you prefer to be anonymised?

Appendix D — AI statement

The use of artificial intelligence across this research was structured as follows: first, it assisted in identifying relevant case studies, academic papers, and business journals to support and corroborate the findings. Second, it provided grammatical assistance during the writing process, refining vocabulary and flow, and served as a tool for organizing data collected from the expert interviews. Third, it helped draft relevant questions and establish the framework for the semi-structured interviews with industry professionals. Moreover, all analytical judgements, theoretical interpretations, thematic coding decisions, and empirical conclusions remain entirely the authors' own. The use of AI tools did not include generating research findings, conducting interviews, or performing the BHAR calculations. Interview transcripts were generated by the recordings but reviewed manually, and all coding was done by the authors following the six-phase framework of Braun and Clarke (2006). The authors take total responsibility for the content, accuracy, and integrity of this work.